

## Taiwan Energy

A rising (AI) tide lifts all boats: Raise NPC PT to NT\$300 post-2Q beat; Formosa Group pre-tax could rise 50x to >NT\$200bn in 2026

We are raising our earnings estimates and PT after Formosa group's 2Q beat, and remain OW with the pecking order of NPC > FPC/FCFC > FPCC. We now forecast NPC's electronic material OPM to rise to a new record high of 30% in 2027 (previous: 18%), driven by the company's successful entry into T-glass and AI-grade CCL, and persistent shortages in commodity-grade electronic materials. We forecast NPC's 2026/2027 EPS to rise to a new record high of 10.9/17.8, and note that NPC is likely the cheapest stock within the PCB supply chain, trading at 10x 2027E P/E. **Our new PT of NT\$300 is based on a 5x P/B, reflecting an estimated rise in the ROE to 36% by 2028, and implying a 17x 2027E P/E.** Our 2027 DPS forecast of 13.3 is 7% of the current share price and 4% of our PT.

- **2Q beat! NPC EPS rises to 3.37 on electronic materials strength:** NPC's 2Q EPS of 3.37 beat Bloomberg consensus of 2.0 and buy-side expectations of 2.5-3.0. This came from strength in electronic materials, equity method income from NYT and chemicals. We forecast slightly weaker chemical earnings contribution in 3Q absent one-off gains from the Middle East conflict, but for NPC's 2H EPS to remain above 5.7, resulting in FY26 EPS rising to a new record high of 10.9/sh.
- **Electronic materials OPM might exceed 30% this cycle:** We are raising NPC's 2027 electronic materials OPM to 30% (previous: 18%) due to faster than expected volume growth and price hikes in NPC's CCL and glass fiber divisions. We forecast +230% y/y and 80% y/y revenue growth for glass fiber and CCL in 2026, respectively. Against a backdrop of persistent glass fiber shortages, NPC's inventory of over 4300 weaving looms and integrated production model across glass fiber (E glass to T glass), copper foil (RTF, HVLPI-3), CCL (M4-M8, pending new products M3, M9, M10), Epoxy and PCB gives it strong production stability, price competitiveness and the ability to expand market share whilst competitors face sourcing challenges, in our view. We continue to forecast specialty grade as forming >50% of the revenue mix by 2028, versus <10% in 2025.
- **Commodity-grade electronic material upcycle might persist through 2028:** Whereas the 2015 and 2020 upcycles in commodity-grade electronic materials typically lasted only 2-3 years as it takes 1-2 years to build new capacity, we see potential for the current upcycle to be deeper and longer than previous cycles. This is due to AI-driven demand for specialty electronic materials but also commodity grade electronic materials for general servers to run inference/processing (JPMe 2026 general server demand growth of >15%,

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### Equity Ratings and Price Targets

| Company                          | Ticker  | Mkt Cap<br>(\$ mn) | Price<br>CCY | Price  | Rating |      | Price Target |          |               |     |
|----------------------------------|---------|--------------------|--------------|--------|--------|------|--------------|----------|---------------|-----|
|                                  |         |                    |              |        | Cur    | Prev | Cur          | End Date | Prev End Date |     |
| Nan Ya Plastics Corp             | 1303 TT | 44,719             | TWD          | 181.50 | OW     | n/c  | 300.00       | Dec-27   | 200.00        | n/c |
| Formosa Petrochemical Corp       | 6505 TT | 17,401             | TWD          | 58.80  | OW     | n/c  | 70.00        | Jun-27   | 65.00         | n/c |
| Formosa Plastics Corp            | 1301 TT | 10,837             | TWD          | 54.80  | OW     | n/c  | 65.00        | Jun-27   | 60.00         | n/c |
| Formosa Chemicals and Fibre Corp | 1326 TT | 10,925             | TWD          | 60.00  | OW     | n/c  | 70.00        | Jun-27   | 60.00         | n/c |

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 09 Jul 26.

See page 30 for analyst certification and important disclosures, including non-US analyst disclosures.

the highest in over a decade). Simultaneously, as producers convert capacity to produce more AI grade, capacity conversion losses will result in lower than usual supply growth. We view capacity conversion losses as the most pronounced for glass cloth, potentially exacerbating the shortage caused by an increase in demand for low-DK 2 (NER cloth) in 2H26/2027 as new GPU and ASIC chips enter mass production.

- **Nvidia denies Kyber delay – M10 CCL presents upside optionality if realized:** On 5 July, semiconductor research firm SemiAnalysis claimed that Nvidia's Kyber NVL144 launch will be delayed by over 12 months to 2028 due to manufacturing difficulties with its PCB midplane. This claim was swiftly denied by Nvidia ([TechTimes](#)) the following day, with a company representative commenting that "our roadmap is intact". Kyber NVL144 is Nvidia's next-gen AI server rack architecture designed for the 2027 Rubin Ultra chip – set to integrate 144 GPUs into a single rack unit, a doubling of the current NVL72 system. The 78-layer midplane PCB is reportedly considering adopting M9 grade CCL, Q-glass, and PTFE hybrid materials. We do not yet model in M9/10 earnings contribution for NPC, though our channel checks indicate that the company is making steady progress on qualification. Incorporating 10% M9/10 market share might present >NT\$4.5bn upside to our 2028 estimates, if realized.
- **Raise NPC FY26-28 NP by 27-32%; JPMe 28-78% above Street:** We are raising earnings across electronic materials, chemicals and equity method income from NYT after the 2Q beat. Our revised estimates assume an NYT NP of NT\$308/357bn in 2027/2028. If we assume the Street-high NYT NP of NT\$451/702bn, this would increase our NPC EPS by a further 3.75/8.7. We are also raising EPS/PTs for the rest of the Formosa group to reflect stronger dividend income and chemical spreads. As shown in Figure 1, our FY26 EPS for NPC/FPCC/FPC/FCFC is 32%/46%/51%/66% above consensus.
- **The return of Taiwan's dividend darlings:** On 25 Feb. 2026, we noted that 2026 would likely mark the start of a multi-year dividend income upcycle for Formosa group, given its circular ownership structure (Figure 3). We note that FPC/FPCC/FCFC/NPC have very strong balance sheets and typically 70-80% dividend payout ratios. Whereas the 2017-2025 downcycle saw a negative dividend income feedback loop for Formosa group, the current upcycle will likely give rise to a positive feedback loop as this year's dividend income is determined by last year's NP, resulting in a gradual multi-year upcycle even for other Formosa group companies that have lower direct AI exposure.

Figure 1: Formosa Group earnings changes

| bn NT\$              | Current     |              |              | Previous    |              |              | Change      |            |            | Consensus   |             |             |              | JPM v Cons |             |            |
|----------------------|-------------|--------------|--------------|-------------|--------------|--------------|-------------|------------|------------|-------------|-------------|-------------|--------------|------------|-------------|------------|
|                      | 26E         | 27E          | 28E          | 26E         | 27E          | 28E          | 26E         | 27E        | 28E        | 25E         | 26E         | 27E         | 28E          | 26E        | 27E         | 28E        |
| <b>Formosa Group</b> |             |              |              |             |              |              |             |            |            |             |             |             |              |            |             |            |
| <b>NPC</b>           |             |              |              |             |              |              |             |            |            |             |             |             |              |            |             |            |
| Revenue              | 366.1       | 489.5        | 570.2        | 304.5       | 377.0        | 419.8        | 20%         | 30%        | 36%        | 264.2       | 309.6       | 358.3       | 419.8        | 18%        | 37%         | 36%        |
| OP                   | 39.2        | 95.2         | 102.8        | 29.6        | 57.9         | 77.6         | 33%         | 65%        | 32%        | 4.3         | 26.8        | 39.2        | 51.3         | 46%        | 143%        | 101%       |
| <b>NP</b>            | <b>86.8</b> | <b>140.7</b> | <b>153.8</b> | <b>68.5</b> | <b>106.3</b> | <b>120.3</b> | <b>27%</b>  | <b>32%</b> | <b>28%</b> | <b>3.4</b>  | <b>65.7</b> | <b>78.9</b> | <b>120.3</b> | <b>32%</b> | <b>78%</b>  | <b>28%</b> |
| DPS                  | 7.7         | 13.3         | 15.5         | 6.0         | 10.1         | 12.1         | 27%         | 32%        | 28%        | 0.5         | 5.7         | 7.5         | 12.1         | 33%        | 77%         | 28%        |
| PT (NT\$/sh)         |             |              | <b>300.0</b> |             |              | <b>200.0</b> |             |            |            |             |             |             |              |            |             |            |
| Rating               |             |              | <b>OW</b>    |             |              | <b>OW</b>    |             |            |            |             |             |             |              |            |             |            |
| ROE%                 | 24%         | 35%          | 36%          |             |              |              |             |            |            |             |             |             |              |            |             |            |
| DPS as % curr px     | 4%          | 7%           | 9%           |             |              |              |             |            |            |             |             |             |              |            |             |            |
| <b>FPCC</b>          |             |              |              |             |              |              |             |            |            |             |             |             |              |            |             |            |
| Revenue              | 815.7       | 751.2        | 731.7        | 815.5       | 750.3        | 730.8        | 0%          | 0%         | 0%         | 635.4       | 687.8       | 683.6       | 730.8        | 19%        | 10%         | 0%         |
| OP                   | 47.2        | 25.1         | 25.1         | 37.0        | 36.3         | 47.6         | 28%         | -31%       | -47%       | 13.1        | 38.1        | 28.8        | 31.3         | 24%        | -13%        | -20%       |
| <b>NP</b>            | <b>55.8</b> | <b>38.2</b>  | <b>60.6</b>  | <b>34.8</b> | <b>39.1</b>  | <b>51.9</b>  | <b>60%</b>  | <b>-2%</b> | <b>17%</b> | <b>12.5</b> | <b>38.3</b> | <b>29.6</b> | <b>51.9</b>  | <b>46%</b> | <b>29%</b>  | <b>17%</b> |
| DPS                  | 4.4         | 4.4          | 4.8          | 2.7         | 3.1          | 4.1          | 60%         | 43%        | 17%        | 1.1         | 2.6         | 2.2         | 4.1          | 69%        | 104%        | 17%        |
| PT (NT\$/sh)         |             |              | <b>70.0</b>  |             |              | <b>65.0</b>  |             |            |            |             |             |             |              |            |             |            |
| Rating               |             |              | <b>OW</b>    |             |              | <b>OW</b>    |             |            |            |             |             |             |              |            |             |            |
| DPS as % curr px     | 7%          | 7%           | 8%           |             |              |              |             |            |            |             |             |             |              |            |             |            |
| <b>FPC</b>           |             |              |              |             |              |              |             |            |            |             |             |             |              |            |             |            |
| Revenue              | 173.0       | 184.3        | 189.8        | 167.8       | 176.7        | 184.3        | 3%          | 4%         | 3%         | 180.6       | 173.2       | 178.9       | 184.3        | 0%         | 3%          | 3%         |
| OP                   | -0.5        | 0.0          | 0.8          | -2.3        | -1.5         | -0.7         | na          | na         | na         | -4.8        | -3.4        | 0.6         | 0.8          | na         | na          | na         |
| <b>NP</b>            | <b>11.1</b> | <b>14.3</b>  | <b>25.3</b>  | <b>5.5</b>  | <b>12.2</b>  | <b>18.4</b>  | <b>103%</b> | <b>18%</b> | <b>38%</b> | <b>-3.9</b> | <b>8.0</b>  | <b>9.7</b>  | <b>18.4</b>  | <b>40%</b> | <b>47%</b>  | <b>38%</b> |
| DPS                  | 1.2         | 1.6          | 2.8          | 0.6         | 1.3          | 2.0          | 104%        | 17%        | 38%        | 0.4         | 1.0         | 1.1         | 2.0          | 21%        | 45%         | 38%        |
| PT (NT\$/sh)         |             |              | <b>65.0</b>  |             |              | <b>60.0</b>  |             |            |            |             |             |             |              |            |             |            |
| Rating               |             |              | <b>OW</b>    |             |              | <b>OW</b>    |             |            |            |             |             |             |              |            |             |            |
| DPS as % curr px     | 2%          | 3%           | 5%           |             |              |              |             |            |            |             |             |             |              |            |             |            |
| <b>FCFC</b>          |             |              |              |             |              |              |             |            |            |             |             |             |              |            |             |            |
| Revenue              | 329.1       | 334.2        | 347.8        | 323.7       | 320.8        | 327.6        | 2%          | 4%         | 6%         | 309.0       | 313.6       | 305.2       | 327.6        | 5%         | 10%         | 6%         |
| OP                   | 11.2        | 8.4          | 9.4          | 3.7         | 1.4          | 1.8          | 202%        | 508%       | 438%       | -4.6        | 6.8         | 5.5         | 1.8          | 65%        | 52%         | 438%       |
| <b>NP</b>            | <b>19.7</b> | <b>26.0</b>  | <b>46.2</b>  | <b>11.9</b> | <b>16.4</b>  | <b>23.6</b>  | <b>65%</b>  | <b>58%</b> | <b>96%</b> | <b>-6.0</b> | <b>11.8</b> | <b>11.8</b> | <b>23.6</b>  | <b>66%</b> | <b>120%</b> | <b>96%</b> |
| DPS                  | 2.5         | 3.3          | 5.9          | 1.5         | 2.1          | 3.0          | 65%         | 58%        | 96%        | 0.3         | 1.9         | 1.6         | 3.0          | 34%        | 109%        | 96%        |
| PT (NT\$/sh)         |             |              | <b>70.0</b>  |             |              | <b>60.0</b>  |             |            |            |             |             |             |              |            |             |            |
| Rating               |             |              | <b>OW</b>    |             |              | <b>OW</b>    |             |            |            |             |             |             |              |            |             |            |
| DPS as % curr px     | 4%          | 6%           | 10%          |             |              |              |             |            |            |             |             |             |              |            |             |            |

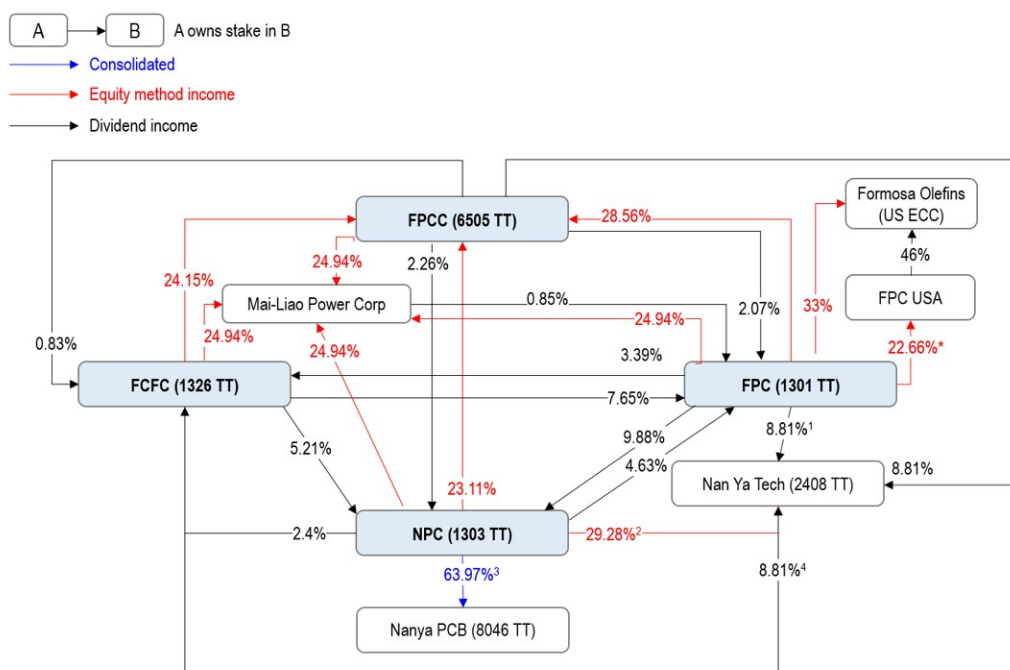
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Priced as of 11 July 2026.

Figure 2: Formosa Group Key Spreads

| Key commodities          | 1Q23  | 2Q23 | 3Q23 | 4Q23 | 1Q24 | 2Q24 | 3Q24 | 4Q24  | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26  | 2Q26  | Spot |
|--------------------------|-------|------|------|------|------|------|------|-------|------|------|------|------|-------|-------|------|
| <b>FPCC (6505 TT)</b>    |       |      |      |      |      |      |      |       |      |      |      |      |       |       |      |
| Refining margin (\$/bbl) | 14.6  | 4.4  | 10.9 | 8.7  | 10.1 | 4.4  | 5.6  | 7.4   | 5.8  | 7.3  | 8.2  | 8.6  | 20.1  | 39.6  | 19.5 |
| NCC spread (\$/t)        | 416   | 449  | 301  | 389  | 434  | 433  | 445  | 411   | 434  | 399  | 394  | 308  | 342   | 544   | 375  |
| Coal price (cny/t)       | 1,135 | 925  | 861  | 962  | 908  | 846  | 846  | 834   | 731  | 637  | 664  | 763  | 707   | 812   | 860  |
| <b>FPC (1301 TT)</b>     |       |      |      |      |      |      |      |       |      |      |      |      |       |       |      |
| ACN spread (\$/t)        | 182   | 44   | (1)  | 136  | 90   | 149  | (24) | 50    | 324  | 147  | 143  | 152  | 69    | 156   |      |
| PVC spread (\$/t)        | 456   | 385  | 448  | 344  | 332  | 377  | 386  | 354   | 299  | 327  | 318  | 324  | 322   | 350   | 350  |
| HDPE-ethylene (\$/t)     | 145   | 150  | 187  | 117  | 88   | 150  | 137  | 123   | 94   | 146  | 116  | 150  | 112   | 125   | 300  |
| PP-ethylene (\$/t)       | 67    | 96   | 118  | 111  | 108  | 122  | 98   | 114   | 100  | 187  | 194  | 125  | 73    | 114   | 320  |
| PE-naphtha (\$/t)        | 345   | 372  | 318  | 306  | 308  | 339  | 357  | 372   | 351  | 378  | 358  | 331  | 245   | 385   | 472  |
| Ethane price (cents/gal) | 25    | 21   | 29   | 22   | 19   | 19   | 16   | 22    | 27   | 24   | 23   | 26   | 24    | 21    |      |
| <b>FCFC (1326 TT)</b>    |       |      |      |      |      |      |      |       |      |      |      |      |       |       |      |
| PX spread (\$/t)         | 336   | 427  | 423  | 363  | 344  | 354  | 282  | 193   | 203  | 226  | 253  | 254  | 307   | 268   | 377  |
| PTA spread (\$/t)        | 92    | 119  | 87   | 85   | 78   | 88   | 85   | 71    | 80   | 83   | 75   | 64   | 58    | 85    | 100  |
| ABS spread (\$/t)        | 222   | 336  | 299  | 219  | 172  | 222  | 278  | 338   | 269  | 383  | 347  | 345  | 214   | 407   | 463  |
| Phenol spread (\$/t)     | 61    | 24   | 52   | 103  | (58) | (89) | 32   | 58    | 49   | 64   | 71   | 107  | 25    | 66    |      |
| <b>NPC (1303 TT)</b>     |       |      |      |      |      |      |      |       |      |      |      |      |       |       |      |
| MEG (\$/t)               | 5     | 0    | 4    | (22) | 9    | 23   | 59   | 63    | 48   | 63   | 55   | 46   | (6)   | (5)   | 80   |
| BPA (\$/t)               | 401   | 464  | 468  | 332  | 369  | 397  | 334  | 360   | 369  | 409  | 325  | 310  | 413   | 632   |      |
| Electronics OPM          | 10%   | 3%   | 2%   | 4%   | -3%  | 1.5% | 2.4% | -1.2% | 1.7% | 4.0% | 3.8% | 7.6% | 13.1% | 20.1% |      |

Source: IHS, J.P. Morgan. \*Note: Refining margin shows Singapore margin versus Dubai crude oil, and does not deduct the April Arab light OSP of \$20/bbl. It is already adjusted for VLCC rates.

Figure 3: Formosa Group ownership structure



<sup>1</sup> as of 6 Mar 2026 vs. 10.81% as of 30 Jun, 2025. FPC announced on the same day that it plans to dispose another 2% stake in NYT (61,792 shares) through 31 Dec 2026. Upon completion, FPC's stake in NYT will further decrease to 6.81%

<sup>2</sup> as of 30 Sep, 2025. NPC announced on 11 Mar 2026 that its Board has approved the proposal to sell 1% NYT stake through 31 Dec 2026. Upon completion, NPC's stake will decrease to 28.28%

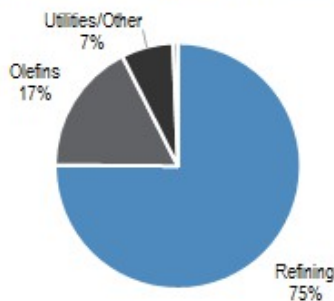
<sup>3</sup> as of 15 May, 2026. NPC announced on 12 Mar 2026 that its Board has approved another proposal to sell 3% NYPCB stake through 31 Dec 2026. Upon completion, NPC's stake will decrease to 63.97%

<sup>4</sup> as of 10 Mar 2025. FCFC announced on 10 Mar 2026 that its Board has approved the proposal to sell 1% NYT stake through 31 Dec 2026. Upon completion, NPC's stake will decrease to 7.81%

Source: Company data, J.P. Morgan. \*: On 6 Mar, FPC announced sale of the 100% stake in its wholly owned subsidiary, Formosa Industries Corporation USA, to its associate, FPC USA, in exchange for 8,841 of FPC USA shares. Upon completion of the transaction, FPC will hold a 24.82% stake in FPC USA vs. the current 22.66%. The transaction is set to close in 3Q26.

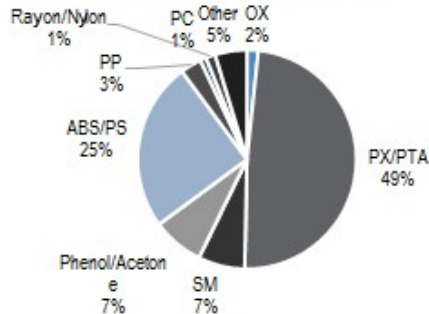
Figure 4: Formosa Group 2025 revenue mix

**Formosa Petrochemical (6505 TT)**



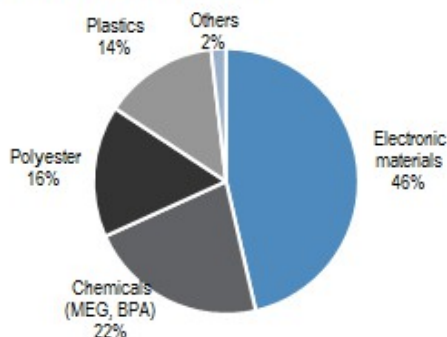
Source: Company data, J.P. Morgan Asia Energy Research

**Formosa Chemicals & Fiber (1326 TT)**



Source: Company data, J.P. Morgan Asia Energy Research

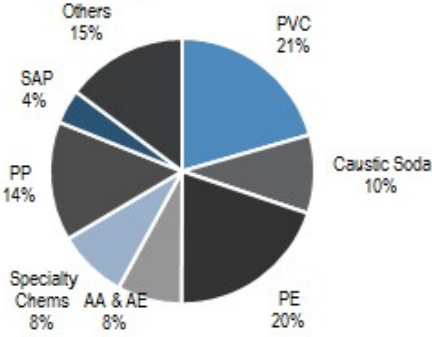
**Nan Ya Plastics (1303 TT)**



Source: Company data, J.P. Morgan Asia Energy Research

Source: Company data, J.P. Morgan.

**Formosa Plastics (1301 TT)**



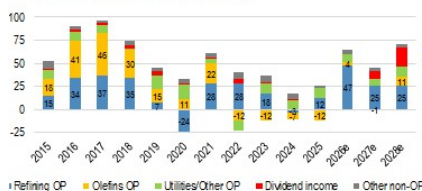
Source: Company data, J.P. Morgan Asia Energy Research



Figure 5: Formosa Group pre-tax profit by division

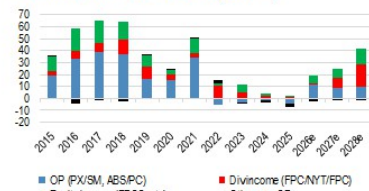
Taiwan Energy pretax profit split (Bn TWD)

Formosa Petrochemical (6505 TT)



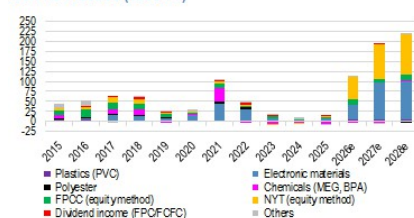
Source: Company data, J.P. Morgan Asia Energy Research

Formosa Chemicals & Fiber (1326 TT)



Source: Company data, J.P. Morgan Asia Energy Research

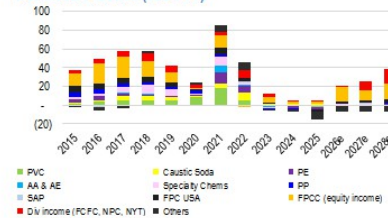
Nan Ya Plastics (1303 TT)



Source: Company data, J.P. Morgan Asia Energy Research

Source: Company data, J.P. Morgan estimates.

Formosa Plastics (1301 TT)



Source: Company data, J.P. Morgan Asia Energy Research

Figure 6: Formosa Group 2Q results summary: 1H26 represents 61-198% of BBG FY26 EPS

|                       | 1Q25  | 2Q25  | 3Q25  | 4Q25  | 1Q26  | 2Q26  | YTD as % of 2Q26 vs BBG |        |      |      |
|-----------------------|-------|-------|-------|-------|-------|-------|-------------------------|--------|------|------|
|                       |       |       |       |       |       |       | bbg FY                  | cons   | Q/Q  | Y/Y  |
| <b>FPC (6505 TT)</b>  |       |       |       |       |       |       |                         |        |      |      |
| Revenue               | 173.3 | 145.5 | 163.5 | 143.8 | 162.0 | 183.0 | 50%                     | 8%     | 13%  | 26%  |
| OP                    | 3.7   | -7.4  | 9.3   | 5.3   | 24.5  | 22.9  | 125%                    | 164%   | -7%  | 409% |
| OPM                   | 2.2%  | -5.1% | 5.7%  | 3.7%  | 15.1% | 12.5% |                         |        |      |      |
| Net Non-OP            | 1.1   | -2.1  | 1.4   | 1.5   | 1.1   | 3.1   |                         |        |      |      |
| Pre-tax               | 4.8   | -9.5  | 10.7  | 6.7   | 25.6  | 26.0  |                         |        | 1%   | 373% |
| Net Profit            | 3.7   | -7.5  | 8.6   | 5.1   | 20.4  | 20.8  | 107%                    | 364%   | 2%   | 377% |
| EPS                   | 0.39  | -0.79 | 0.90  | 0.54  | 2.14  | 2.18  | 103%                    | 176%   | 2%   | 377% |
| <b>FPC (1301 TT)</b>  |       |       |       |       |       |       |                         |        |      |      |
| Revenue               | 47.2  | 45.4  | 41.7  | 41.1  | 42.0  | 47.3  | 52%                     | 4%     | 13%  | 4%   |
| OP                    | -0.9  | -1.6  | -2.7  | -2.4  | -1.3  | 2.8   | NA                      | 10082% | 315% | 279% |
| OPM                   | -1.9% | -3.5% | -6.5% | -5.8% | -3.1% | 5.9%  |                         |        |      |      |
| Net Non-OP            | 1.0   | -5.3  | 2.1   | -0.5  | 4.7   | 8.0   |                         |        |      |      |
| Pre-tax               | 0.1   | -6.9  | -0.6  | -2.9  | 3.4   | 10.8  |                         |        | 220% | 257% |
| Net Profit            | 0.1   | -6.6  | -0.6  | -2.9  | 3.3   | 10.6  | 174%                    | 318%   | 224% | 260% |
| EPS                   | 0.01  | -1.04 | -0.09 | -0.45 | 0.51  | 1.67  | 198%                    | 120%   | 224% | 260% |
| <b>FCFC (1326 TT)</b> |       |       |       |       |       |       |                         |        |      |      |
| Revenue               | 78.9  | 73.5  | 69.6  | 65.0  | 81.7  | 87.2  | 54%                     | 11%    | 7%   | 19%  |
| OP                    | -0.4  | -2.5  | -0.2  | -0.2  | 3.8   | 2.6   | 95%                     | 27%    | -31% | 205% |
| OPM                   | -0.6% | -3.4% | -0.3% | -0.3% | 4.7%  | 3.0%  |                         |        |      |      |
| Net Non-OP            | 0.0   | -4.5  | 2.5   | 1.1   | 3.5   | 4.4   |                         |        |      |      |
| Pre-tax               | -0.4  | -7.1  | 2.3   | 0.9   | 7.3   | 7.0   |                         |        | -4%  | 199% |
| Net Profit            | -0.4  | -6.8  | 1.8   | 1.11  | 6.2   | 6.1   | 104%                    | 283%   | -2%  | 189% |
| EPS                   | -0.08 | -1.17 | 0.30  | 0.19  | 1.07  | 1.04  | 117%                    | 155%   | -2%  | 189% |
| <b>NPC (1303 TT)</b>  |       |       |       |       |       |       |                         |        |      |      |
| Revenue               | 65.6  | 65.7  | 64.2  | 64.5  | 68.6  | 83.7  | 49%                     | 5%     | 22%  | 27%  |
| OP                    | 0.0   | 1.3   | 1.0   | 1.3   | 3.7   | 11.4  | 57%                     | 60%    | 205% | 777% |
| OPM                   | 0.1%  | 2.0%  | 1.6%  | 2.1%  | 5.5%  | 13.7% |                         |        |      |      |
| Net Non-OP            | 0.8   | -5.5  | 3.0   | 4.5   | 12.3  | 19.3  |                         |        | 91%  | 832% |
| Pre-tax               | 0.8   | -4.2  | 4.0   | 5.8   | 16.1  | 30.7  |                         |        | 88%  | 750% |
| Net Profit            | 0.5   | -4.1  | 3.3   | 4.9   | 14.3  | 26.8  | 62%                     | 61%    | 88%  | 750% |
| EPS                   | 0.06  | -0.52 | 0.41  | 0.62  | 1.80  | 3.37  | 61%                     | 61%    | 88%  | 750% |

Source: Company data, J.P. Morgan.

## Related Research

[Nan Ya Plastics Corp: Blue Skies turn to reality, raise PT to NT\\$200; good progress on M9/M10 CCL and T-glass; AI-grade might form >50% of mix by 2028](#) (21 June 2026)

[Nan Ya Plastics Corp: >20% electronic materials revenue growth in 2Q26? Accumulate on dips](#) (8 June 2026)

[Nan Ya Plastics Corp: April revenue reached another 40+ month high. 2Q OPM expansion on track as price hike feeds through. Remain OW](#) (7 May 2026)

[Nan Ya Plastics Corp: 10-40% CCL price hikes across the industry into 2Q; positive management call takeaways](#) (20 April 2026)

[Asia Chemicals: China's Anti-Involution, Part 3: More policy measures crystallize, we upgrade Formosa Group to full house OW; 2026 the start of a 3-year earnings upcycle?](#) (24 February 2026)

[Nan Ya Plastics Corp: Share price +10% on another NYT record-high monthly revenue print; Next catalysts: M8 CCL and T-Glass entry in 2026?](#) (8 January 2026)

[Nan Ya Plastics Corp: Solid Nov revenue growth momentum illustrates fundamental electronic material S-D tightness](#) (8 December 2025)

[Electronic Materials Sector: First Take: Nan Ya Plastics and Nittobo announce specialty glass collaboration](#) (30 November 2025)

[Taiwan Energy: Turning more positive post a four-year de-rating; upgrade NPC to OW on improved electronic materials earnings outlook; remain OW FPCC](#) (21 September 2025)

## Nan Ya Plastics Corp

### Overweight

1303.TW, 1303 TT  
Price (09 Jul 26):NT\$181.50

▲ **Price Target (Dec-27):NT\$300.00**  
Prior (Dec-27):NT\$200.00

### Head of Asia Energy & Chemicals | Asia EV Battery

Parsley Ong <sup>AC</sup>

(65) 6882-8578

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J.P. Morgan Securities Singapore Private Limited/  
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.  
Morgan Broking (Hong Kong) Limited

### Key Changes (FYE Dec)

|                       | Prev  | Cur   | Δ     |
|-----------------------|-------|-------|-------|
| Adj. EPS - 26E (NT\$) | 8.63  | 10.94 | 26.8% |
| Adj. EPS - 27E (NT\$) | 13.41 | 17.75 | 32.4% |

### Style Exposure

| Quant Factors | Current | Hist %Rank (1=Top) |    |    |    |
|---------------|---------|--------------------|----|----|----|
|               | %Rank   | 6M                 | 1Y | 3Y | 5Y |
| Value         | 29      | 68                 | 73 | 58 | 54 |
| Growth        | 28      | 94                 | 83 | 89 | 91 |
| Momentum      | 11      | 28                 | 92 | 69 | 21 |
| Quality       | 91      | 92                 | 89 | 86 | 88 |
| Low Vol       | 78      | 62                 | 28 | 26 | 25 |
| ESGQ          | 87      | 94                 | 96 | 6  | 92 |

### EM price hikes the main margin driver while M10 entry remains an upside optionality; PT goes to NT\$300 after 2Q beat

Nan Ya Plastics reported a 2Q26 NP of NT\$26.8bn (+88% q/q, +750% y/y), a beat vs JPMe of NT\$20.5bn and consensus of NT\$16.6bn. This was the highest quarterly NP in history. The electronic materials division likely delivered exceptional OP growth in 2Q26, with OPM potentially exceeding 20% for the first time since 2021. Management noted that utilizations across almost all of its electronic materials divisions in 2Q were close to full, and that it sees continued shortages across fiberglass cloth/yarn, copper foil, CCL and ABF substrates.

- **2Q26 results summary:** NPC reported 2Q consolidated OP of NT\$11.4bn (+205% q/q, +777% y/y), with OPM rising sharply to 13.7% (vs. 5.5% in 1Q26) – the highest since 2022. OP for all 4 segments increased q/q, but based on the company's comments we believe the margin improvement came mostly from electronic materials. Equity method income also increased 58% q/q, coming mostly from Nanya Tech, Mailliao Power and FPCC. This drove 88% q/q growth in NP/EPS to a historical record-high of NT\$3.37/share.
- **2Q Electronic Materials OPM likely rose to ~20%, paving the way for >30% OPM this upcycle:** The electronic materials division reported a significant q/q increase in 2Q26 OP, supported by good commercialization progress for AI/specialty PCB materials, price hikes in various commodity-grade materials and higher utilization rates. NPC noted an unprecedented supply tightness across key PCB materials, including glass fabric/yarn, copper foil, CCL and ABF substrates. Against this backdrop, the company leveraged its vertically integrated business structure to expand both internal and external sales for commodity grade-products, while gaining exposure to specialty/AI grades.
- **Chemicals OP turned positive for the first time in 3.5 years:** The chemicals division returned to profitability in 2Q26, reflecting a combination of raw material lag effect and the improvement in US MEG spreads due to supply disruptions in the Middle East. NPC operates 1.2Mtpa MEG capacity in the US, representing 39% of its total MEG capacity.
- **Polyester – back to black:** Polyester revenue grew q/q in 2Q26, reflecting the improvement in US PET orders amid a high demand season and reduction in imports. NPC noted that the plastics division is starting to turn profitable, supported by higher utilization rates and product mix improvement due to the expansion of polyester films for electronic applications.
- **Plastics OPM rose above 9.4%:** Plastics revenue increased q/q and OPM improved q/q in 2Q26, driven by improved orders for plastics building products. The division has provided a stable earnings contribution historically, helping to offset the cyclicity in NPC's other divisions. We note that the plastics division has delivered steady OPM improvement over the past six quarters
- **Earnings and PT change:** Post-2Q beat, we are raising our FY26/27/28E NP estimates for NPC by 27-32% to reflect higher electronic materials OPM and improved earnings contribution from NYT. We are raising our Dec-27 PT to the Street high of NT\$300/shr on a target P/B multiple of 5x (vs. 4x previously), reflecting a new record high ROE of close to 36% by 2028 (previous: 4x, 30% ROE). The implied FY26/27E P/E of 27x/17x remains attractive vs. the FY26-28E EPS CAGR of 33%. Reiterate OW.



Figure 7: NPC quarterly earnings

| Unit: NT\$ in millions              | 1Q25          | 2Q25           | 3Q25          | 4Q25          | 1Q26          | 2Q26          | 3Q26e         | 4Q26e         | 2025           | 2026E          | 2027E          | 2028E          | 2026e          | JPM           |
|-------------------------------------|---------------|----------------|---------------|---------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|----------------|----------------|---------------|
| <b>Revenue</b>                      | <b>65,552</b> | <b>65,716</b>  | <b>64,177</b> | <b>64,467</b> | <b>68,596</b> | <b>83,650</b> | <b>86,195</b> | <b>97,579</b> | <b>259,608</b> | <b>259,912</b> | <b>366,141</b> | <b>489,540</b> | <b>570,192</b> | <b>75,407</b> |
| Plastics (PVC products)             | 9,030         | 9,235          | 8,982         | 9,005         | 9,122         | 10,947        | 10,071        | 10,509        | 39,238         | 36,251         | 40,650         | 37,268         | 37,426         | 9,214         |
| Electronic materials                | 28,033        | 29,877         | 29,911        | 32,797        | 36,222        | 44,000        | 49,825        | 56,380        | 108,365        | 120,618        | 186,427        | 309,102        | 386,615        | 43,000        |
| Polyester                           | 11,787        | 10,588         | 9,405         | 9,918         | 10,712        | 12,855        | 11,826        | 14,587        | 48,510         | 41,698         | 49,980         | 48,541         | 48,541         | 10,819        |
| Chemicals (MEG, BPA, etc.)          | 15,631        | 14,763         | 14,728        | 11,544        | 11,162        | 13,953        | 12,837        | 14,467        | 58,363         | 56,665         | 52,419         | 89,950         | 92,931         | 11,274        |
| Others                              | 1,071         | 1,255          | 1,152         | 1,202         | 1,377         | 1,895         | 1,636         | 1,636         | 5,134          | 4,680          | 6,545          | 4,680          | 4,680          | 1,100         |
| <b>Operating Income</b>             | <b>36</b>     | <b>1,302</b>   | <b>1,036</b>  | <b>1,329</b>  | <b>3,739</b>  | <b>11,420</b> | <b>10,835</b> | <b>13,234</b> | <b>435</b>     | <b>3,704</b>   | <b>39,229</b>  | <b>95,221</b>  | <b>102,818</b> | <b>8,478</b>  |
| Plastics (PVC products)             | 697           | 733            | 757           | 799           | 855           | 1,095         | 1,007         | 754           | 3,097          | 2,985          | 3,711          | 3,839          | 3,855          | 864           |
| Electronic materials                | 482           | 1,196          | 1,124         | 2,485         | 4,759         | 8,844         | 10,705        | 13,441        | (30)           | 5,287          | 37,749         | 92,731         | 96,654         | 8,600         |
| Polyester                           | (148)         | 103            | (363)         | (308)         | (235)         | 26            | (237)         | (40)          | (473)          | (716)          | (485)          | (485)          | (485)          | (237)         |
| Chemicals (MEG, BPA)                | (1,477)       | (827)          | (1,076)       | (2,024)       | (1,792)       | 419           | (642)         | (667)         | (3,549)        | (5,403)        | (2,681)        | (1,799)        | 1,859          | (902)         |
| Others                              | 482           | 97             | 594           | 377           | 151           | 1,037         | 2             | (254)         | 1,390          | 1,551          | 936            | 936            | 936            | 153           |
| <b>OPM</b>                          | <b>0.1%</b>   | <b>2.0%</b>    | <b>1.6%</b>   | <b>2.1%</b>   | <b>5.5%</b>   | <b>13.7%</b>  | <b>12.6%</b>  | <b>13.6%</b>  | <b>0.2%</b>    | <b>1.4%</b>    | <b>10.7%</b>   | <b>19.5%</b>   | <b>18.0%</b>   | <b>11.2%</b>  |
| Plastics (PVC products)             | 7.7%          | 7.9%           | 8.4%          | 8.9%          | 9.4%          | 10.0%         | 10.0%         | 7.2%          | 7.9%           | 8.2%           | 10.0%          | 10.3%          | 10.3%          | 9.4%          |
| Electronic materials                | 1.7%          | 4.0%           | 3.8%          | 7.6%          | 13.1%         | 20%           | 21.5%         | 23.8%         | 0.0%           | 4.4%           | 20.2%          | 30%            | 25%            | 20.0%         |
| Polyester                           | -1.3%         | 1.0%           | -3.9%         | -3.1%         | -2.2%         | 0.2%          | -2.0%         | -0.3%         | -1.7%          | -1.0%          | -1.0%          | -1.0%          | -1.0%          | -2.2%         |
| Chemicals (MEG, BPA)                | -9.5%         | -5.6%          | -7.3%         | -17.5%        | -16.0%        | 3.0%          | -5.0%         | -4.6%         | -6.1%          | -9.5%          | -3.0%          | -2.0%          | 2.0%           | -8.0%         |
| Others                              | 45.1%         | 7.7%           | 51.6%         | 31.4%         | 11.0%         | 54.7%         | 0.1%          | -15.5%        | 27.1%          | 33.1%          | 20.0%          | 20.0%          | 20.0%          | 13.9%         |
| Equity Income (23% FPCC, 29.5% NYT) | 436           | (2,972)        | 2,208         | 3,919         | 12,119        | 19,090        | 16,724        | 20,994        | 1,414          | 3,590          | 68,927         | 95,441         | 114,471        | 15,576        |
| Other non-OP                        | 342           | (2,524)        | 756           | 591           | 222           | 190           | 100           | (59)          | 2,675          | (834)          | 453            | 570            | 1,220          | (179)         |
| <b>Total Non-op Income</b>          | <b>778</b>    | <b>(5,496)</b> | <b>2,964</b>  | <b>4,510</b>  | <b>12,341</b> | <b>19,280</b> | <b>16,824</b> | <b>20,935</b> | <b>4,089</b>   | <b>2,755</b>   | <b>69,380</b>  | <b>96,011</b>  | <b>115,691</b> | <b>15,397</b> |
| <b>Pre-tax Income</b>               | <b>814</b>    | <b>(4,194)</b> | <b>4,000</b>  | <b>5,839</b>  | <b>16,080</b> | <b>30,790</b> | <b>27,559</b> | <b>34,169</b> | <b>4,523</b>   | <b>6,459</b>   | <b>108,606</b> | <b>191,232</b> | <b>218,598</b> | <b>23,875</b> |
| <b>Net Income</b>                   | <b>453</b>    | <b>(4,116)</b> | <b>3,260</b>  | <b>4,922</b>  | <b>14,255</b> | <b>26,750</b> | <b>23,316</b> | <b>22,458</b> | <b>3,340</b>   | <b>4,519</b>   | <b>86,778</b>  | <b>140,747</b> | <b>153,830</b> | <b>20,524</b> |
| <b>EPS</b>                          | <b>0.06</b>   | <b>(0.62)</b>  | <b>0.41</b>   | <b>0.62</b>   | <b>1.80</b>   | <b>3.37</b>   | <b>2.94</b>   | <b>2.83</b>   | <b>0.42</b>    | <b>0.57</b>    | <b>10.94</b>   | <b>17.75</b>   | <b>19.40</b>   | <b>2.50</b>   |
| <b>Consensus</b>                    |               |                |               |               |               |               |               |               | <b>2.49</b>    | <b>2.20</b>    | <b>20.7</b>    | <b>22.7</b>    | <b>23.9</b>    |               |
| Sales                               | 66,212        | 68,651         | 66,344        | 67,210        | 80,838        | 79,896        | 80,838        | 82,628        | 253,426        | 264,203        | 309,564        | 358,348        | 419,829        |               |
| OP                                  | 379           | 1,335          | 1,485         | 1,985         | 7,574         | 7,159         | 7,574         | 7,442         | 1,522          | 4,326          | 26,789         | 39,156         | 51,275         |               |
| NP                                  | 1,469         | (1,321)        | 2,990         | 2,239         | 18,175        | 16,571        | 18,175        | 18,215        | 5,396          | 3,447          | 65,736         | 78,933         | 120,294        |               |
| EPS                                 | 0.15          | (0.05)         | 0.35          | 0.43          | 2.29          | 2.09          | 2.29          | 2.30          | 0.80           | 0.41           | 8.43           | 8.94           | 15.17          |               |

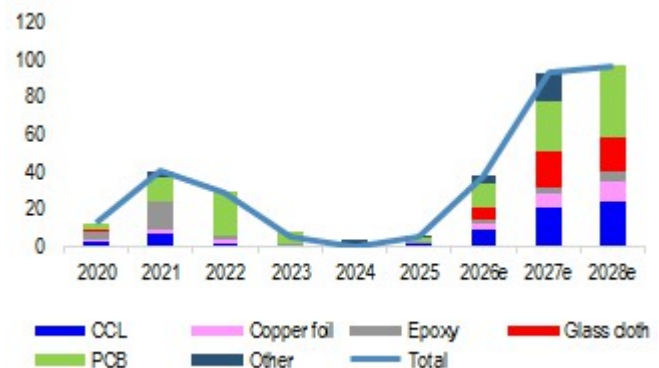
Source: Company data, J.P. Morgan estimates. Note: Blue font is the actual reported prelim number. The rest are JPM based on disclosed company commentary. Full audited results will be released in a few weeks.

Figure 8: NPC electronic materials OPM%



Source: Company data, J.P. Morgan estimates.

Figure 9: NPC electronic materials OP split (NT\$bn)



Source: Company data, J.P. Morgan estimates.

Figure 10: Electronic material price hike announcement YTD

| Date               | Company                         | Announced Pricing adjustment                                                                           |
|--------------------|---------------------------------|--------------------------------------------------------------------------------------------------------|
| <b>CCL</b>         |                                 |                                                                                                        |
| Jan 16th, 2026     | Resonac                         | All CCL +30% for shipments from 1 Mar, 2026 onwards. Prev hike was 10% in Nov 2022 and 15% in Jan 2022 |
| Mar 10th, 2026     | Kingboard                       | +10% price hike across CCL/PP/copper foil processing fee                                               |
| Mar 16th, 2026     | NPC                             | +15% across CCL products                                                                               |
| Apr 3rd, 2026      | Kingboard                       | +10% price hike across CCL/PP products citing raw material price inflation                             |
| Apr, 2026          | EMC                             | High-end CCL +10% from 2Q26                                                                            |
| Apr, 2026          | TUC                             | +20%-40% for selected CCL products                                                                     |
| Apr 9th, 2026      | Panasonic                       | CCL/prepeg/FRP/FPC materials price +15-30% from May 2026                                               |
| Apr, 2026          | ITEQ                            | High-end CCL +10%                                                                                      |
| Apr 28th, 2026     | Kingboard                       | +10% price hike on FR4/PP products                                                                     |
| May 27th, 2026     | Kingboard                       | +10%/20% price hike on CCL/PP products                                                                 |
| Jun 16th, 2026     | Kingboard                       | +15% price hike on FR4/PP products                                                                     |
| Jul 6th, 2026      | Kingboard                       | +15% price hike on FR4/PP products (thickness >1.3mm)                                                  |
| <b>Copper Foil</b> |                                 |                                                                                                        |
| Aug, 2025          | Co-Tech                         | 5-10% hike in processing fee for standard copper foil/HVLP4                                            |
| Sep 29th, 2025     | China Elec Mat. Industry Assoc. | "Recommendation" for an industry-wide increase in processing fees for electronic copper foil: +Rmb2/kg |
| Sep, 2025          | NPC                             | Single-double digit % across conventional/high-end copper foil product                                 |
| Oct, 2025          | Mitsui Metal                    | +US\$2/kg (~15% increase) in high-end copper foil price                                                |
| Mar, 2026          | Kingboard                       | Processing fee +10%                                                                                    |
| Jul, 2026          | Kingboard                       | Processing fee +Rmb5/kg for products <1.5oz; +Rmb8/kg for products >2oz                                |

Source: Media reports, company announcements, J.P. Morgan. The above list is not exhaustive.

## Price Performance



|     | YTD    | 1m    | 3m     | 12m    |
|-----|--------|-------|--------|--------|
| Abs | 201.5% | 83.0% | 113.0% | 561.2% |
| Rel | 144.9% | 81.5% | 82.9%  | 459.9% |

## Company Data

|                             |              |
|-----------------------------|--------------|
| Shares O/S (mn)             | 7,931        |
| 52-week range (NT\$)        | 200.00-26.25 |
| Market cap (\$ mn)          | 44,719       |
| Exchange rate               | 32.19        |
| Free float (%)              | 65.3%        |
| 3M ADV (mn)                 | 79.32        |
| 3M ADV (\$ mn)              | 268.9        |
| Volatility (90 Day)         | 83           |
| Index                       | TAIEX        |
| BBG ANR (Buy   Hold   Sell) | 6 2 1        |

## Key Metrics (FYE Dec)

| NT\$ in millions           | FY25A   | FY26E   | FY27E   | FY28E   |
|----------------------------|---------|---------|---------|---------|
| <b>Financial Estimates</b> |         |         |         |         |
| Revenue                    | 259,912 | 366,141 | 489,540 | 570,192 |
| Adj. EBITDA                | 26,221  | 62,361  | 119,020 | 127,199 |
| Adj. EBIT                  | 3,704   | 39,229  | 95,221  | 102,818 |
| Adj. net income            | 4,519   | 86,778  | 140,771 | 153,847 |
| Adj. EPS                   | 0.57    | 10.94   | 17.75   | 19.40   |
| BBG EPS                    | 0.41    | 8.43    | 8.94    | 15.17   |
| Cashflow from operations   | 8,649   | 79,979  | 138,120 | 179,570 |
| FCFF                       | (754)   | 58,215  | 124,524 | 168,831 |
| <b>Margins and Growth</b>  |         |         |         |         |
| Revenue Growth Y/Y (%)     | 0.1%    | 40.9%   | 33.7%   | 16.5%   |
| EBITDA margin              | 10.1%   | 17.0%   | 24.3%   | 22.3%   |
| EBITDA Growth Y/Y (%)      | 13.3%   | 137.8%  | 90.9%   | 6.9%    |
| EBIT margin                | 1.4%    | 10.7%   | 19.5%   | 18.0%   |
| Net margin                 | 1.7%    | 23.7%   | 28.8%   | 27.0%   |
| Adj. EPS growth            | 35.3%   | 1820.5% | 62.2%   | 9.3%    |
| <b>Ratios</b>              |         |         |         |         |
| Adj. tax rate              | 21.6%   | 15.0%   | 20.0%   | 20.0%   |
| Interest cover             | 10.7    | 23.7    | 39.8    | 49.6    |
| Net debt/Equity            | 0.3     | 0.3     | 0.2     | 0.1     |
| Net debt/EBITDA            | 4.8     | 1.8     | 0.8     | 0.4     |
| ROCE                       | 0.6%    | 6.4%    | 14.4%   | 14.8%   |
| ROE                        | 1.3%    | 23.5%   | 35.2%   | 35.5%   |
| <b>Valuation</b>           |         |         |         |         |
| FCFF yield                 | (0.1%)  | 4.0%    | 8.7%    | 11.7%   |
| Dividend yield             | 0.4%    | 4.2%    | 7.3%    | 8.6%    |
| EV/Revenue                 | 6.1     | 4.3     | 3.2     | 2.7     |
| EV/EBITDA                  | 60.4    | 25.3    | 13.2    | 12.2    |
| Adj. P/E                   | 318.6   | 16.6    | 10.2    | 9.4     |

## Summary Investment Thesis and Valuation

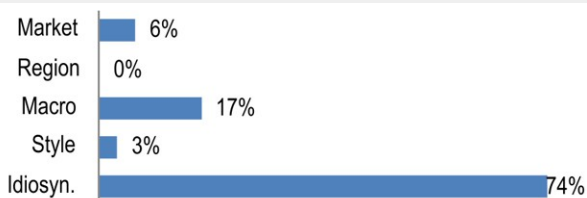
### Investment Thesis

NPC is a major producer of electronic materials (CCL, copper foil, epoxy resin, glass fiber, PCB), polyester, chemicals (mainly MEG/BPA), and PVC plastics. We are OW on NPC on the back of emerging EPS positives from a multi-year PCB material supply tightness and its transition towards specialty grade electronic materials. While we estimate that >90% of NPC's electronic materials sales are commodity-grade with lower margins as of 2025, an improving product mix, utilisation uptick and price hikes on the back of tightening industry S&D in the coming years should drive OPM upside for the segment, in our view.

### Valuation

Our Dec-27 PT of NT\$300 is based on a one-year forward P/B of 5x to reflect a new record-high ROE of close to 36% by 2028 (previously: 4x, 30% ROE). This is due to a structural improvement in electronic material margins caused by NPC's transition towards AI-grade electronic materials. We see NPC's ROE improving to >30% over the next two years. For comparison, NPC's historical 10-year average P/B and ROE are 1.6x and 9%, respectively.

## Performance Drivers



| Factors                      | 6M Corr | 1Y Corr |
|------------------------------|---------|---------|
| Market: MSCI Asia Pac ex JP  | 0.56    | 0.26    |
| Region: Taiwan               | 0.15    | -0.04   |
| <b>Macro:</b>                |         |         |
| Citi Economic Surprise - EM  | -0.17   | -0.29   |
| HSI Volatility Index         | -0.43   | -0.19   |
| JPM EM Currency(EMCI) Fixing | 0.33    | 0.17    |
| <b>Quant Styles:</b>         |         |         |
| Quality                      | -0.26   | -0.24   |
| DivYld                       | -0.36   | -0.13   |
| LowVol                       | -0.33   | -0.13   |

## Investment Thesis, Valuation and Risks

### Nan Ya Plastics Corp (*Overweight; Price Target: NT\$300.00*)

#### Investment Thesis

NPC is a major producer of electronic materials (CCL, copper foil, epoxy resin, glass fiber, PCB), polyester, chemicals (mainly MEG/BPA), and PVC plastics. We are OW on NPC on the back of emerging EPS positives from a multi-year PCB material supply tightness and its transition towards specialty grade electronic materials. While we estimate that >90% of NPC's electronic materials sales are commodity-grade with lower margins as of 2025, an improving product mix, utilisation uptick and price hikes on the back of tightening industry S&D in the coming years should drive OPM upside for the segment, in our view.

#### Valuation

Our Dec-27 PT of NT\$300 is based on a one-year forward P/B of 5x to reflect a new record-high ROE of close to 36% by 2028. This is due to a structural improvement in electronic material margins caused by NPC's transition towards AI-grade electronic materials. We see NPC's ROE improving to >30% over the next two years. For comparison, NPC's historical 10-year average P/B and ROE are 1.6x and 9%, respectively.

#### Risks to Rating and Price Target

Downside risks include weaker-than-expected MEG/BPA demand due to a weak macro or tariffs, a deceleration in global AI/datacenter capex, unsuccessful PCB/substrate price hikes/ next-gen electronic material qualification, and a loss of electronic materials market share.

## Nan Ya Plastics Corp: Summary of Financials

| Income Statement             |           |           |           |           |           | Cash Flow Statement                 |           |           |           |           |           |
|------------------------------|-----------|-----------|-----------|-----------|-----------|-------------------------------------|-----------|-----------|-----------|-----------|-----------|
|                              | FY24A     | FY25A     | FY26E     | FY27E     | FY28E     |                                     | FY24A     | FY25A     | FY26E     | FY27E     | FY28E     |
| Revenue                      | 259,608   | 259,912   | 366,141   | 489,540   | 570,192   | Cash flow from operating activities | 18,786    | 8,649     | 79,979    | 138,120   | 179,570   |
| COGS                         | (241,034) | (238,313) | (302,950) | (363,793) | (432,489) | o/w Depreciation & amortization     | 22,032    | 21,933    | 22,807    | 23,389    | 23,855    |
| Gross profit                 | 18,574    | 21,599    | 63,190    | 125,747   | 137,703   | o/w Changes in working capital      | (4,244)   | (6,222)   | (31,061)  | (36,802)  | (18,917)  |
| SG&A                         | (18,228)  | (17,896)  | (23,990)  | (30,572)  | (34,952)  | Cash flow from investing activities | (17,900)  | (11,332)  | (24,000)  | (15,990)  | (12,792)  |
| Adj. EBITDA                  | 23,136    | 26,221    | 62,361    | 119,020   | 127,199   | o/w Capital expenditure             | (12,640)  | (11,329)  | (24,000)  | (15,990)  | (12,792)  |
| D&A                          | (22,702)  | (22,518)  | (23,132)  | (23,799)  | (24,382)  | as % of sales                       | 4.9%      | 4.4%      | 6.6%      | 3.3%      | 2.2%      |
| Adj. EBIT                    | 435       | 3,704     | 39,229    | 95,221    | 102,818   | Cash flow from financing activities | (20,112)  | (16,751)  | (81,326)  | (114,004) | (131,106) |
| Net Interest                 | (2,063)   | (2,456)   | (2,631)   | (2,993)   | (2,566)   | o/w Dividends paid                  | (5,615)   | (5,562)   | (60,745)  | (105,578) | (123,078) |
| Adj. PBT                     | 4,523     | 6,459     | 108,608   | 191,265   | 218,533   | o/w Shares issued/(repurchased)     | 0         | 0         | 0         | 0         | 0         |
| Tax                          | (1,216)   | (1,393)   | (16,291)  | (38,253)  | (43,707)  | o/w Net debt issued/(repaid)        | (9,950)   | (7,554)   | (20,582)  | (8,426)   | (8,028)   |
| Minority Interest            | 33        | (547)     | (5,539)   | (12,241)  | (20,979)  | Net change in cash                  | (13,856)  | (20,295)  | (25,347)  | 8,125     | 35,672    |
| Adj. Net Income              | 3,340     | 4,519     | 86,778    | 140,771   | 153,847   | Adj. Free cash flow to firm         | 7,653     | (754)     | 58,215    | 124,524   | 168,831   |
| Reported EPS                 | 0.42      | 0.57      | 10.94     | 17.75     | 19.40     | y/y Growth                          | (40.4%)   | (109.8%)  | (7825.1%) | 113.9%    | 35.6%     |
| Adj. EPS                     | 0.42      | 0.57      | 10.94     | 17.75     | 19.40     |                                     |           |           |           |           |           |
| DPS                          | 0.70      | 0.80      | 7.66      | 13.31     | 15.52     |                                     |           |           |           |           |           |
| Payout ratio                 | 166.2%    | 140.4%    | 70.0%     | 75.0%     | 80.0%     |                                     |           |           |           |           |           |
| Shares outstanding           | 7,931     | 7,931     | 7,931     | 7,931     | 7,931     |                                     |           |           |           |           |           |
| Balance Sheet                |           |           |           |           |           | Ratio Analysis                      |           |           |           |           |           |
|                              | FY24A     | FY25A     | FY26E     | FY27E     | FY28E     |                                     | FY24A     | FY25A     | FY26E     | FY27E     | FY28E     |
| Cash and cash equivalents    | 66,445    | 46,150    | 20,803    | 28,928    | 64,600    | Gross margin                        | 7.2%      | 8.3%      | 17.3%     | 25.7%     | 24.2%     |
| Accounts receivable          | 41,852    | 46,344    | 62,121    | 83,057    | 96,741    | EBITDA margin                       | 8.9%      | 10.1%     | 17.0%     | 24.3%     | 22.3%     |
| Inventories                  | 51,696    | 51,303    | 79,124    | 105,790   | 123,219   | EBIT margin                         | 0.2%      | 1.4%      | 10.7%     | 19.5%     | 18.0%     |
| Other current assets         | 25,508    | 34,039    | 37,992    | 39,472    | 39,666    | Net profit margin                   | 1.3%      | 1.7%      | 23.7%     | 28.8%     | 27.0%     |
| Current assets               | 185,502   | 177,836   | 200,040   | 257,248   | 324,227   | ROE                                 | 0.9%      | 1.3%      | 23.5%     | 35.2%     | 35.5%     |
| PP&E                         | 219,151   | 208,547   | 209,741   | 202,341   | 191,278   | ROA                                 | 0.5%      | 0.7%      | 13.9%     | 21.3%     | 21.6%     |
| LT investments               | 170,623   | 184,104   | 184,104   | 184,104   | 184,104   | ROCE                                | 0.1%      | 0.6%      | 6.4%      | 14.4%     | 14.8%     |
| Other non current assets     | 42,198    | 40,111    | 41,089    | 41,089    | 41,089    | SG&A/Sales                          | 7.0%      | 6.9%      | 6.6%      | 6.2%      | 6.1%      |
| Total assets                 | 617,473   | 610,598   | 634,974   | 684,782   | 740,699   | Net debt/Equity                     | 0.3       | 0.3       | 0.3       | 0.2       | 0.1       |
| Short term borrowings        | 97,303    | 93,325    | 76,946    | 71,297    | 70,397    | Net debt/EBITDA                     | 4.2       | 4.8       | 1.8       | 0.8       | 0.4       |
| Payables                     | 43,368    | 41,245    | 53,781    | 64,583    | 76,778    | Sales/Assets (x)                    | 0.4       | 0.4       | 0.6       | 0.7       | 0.8       |
| Other short term liabilities | 0         | 130       | 0         | (0)       | 0         | Assets/Equity (x)                   | 1.8       | 1.7       | 1.7       | 1.6       | 1.6       |
| Current liabilities          | 140,671   | 134,700   | 130,728   | 135,880   | 147,175   | Interest cover (x)                  | 11.2      | 10.7      | 23.7      | 39.8      | 49.6      |
| Long-term debt               | 83,336    | 79,759    | 75,556    | 72,779    | 65,651    | Operating leverage                  | 137700.7% | 644032.2% | 2346.9%   | 423.5%    | 48.4%     |
| Other long term liabilities  | 30,864    | 24,341    | 24,341    | 24,341    | 24,341    | Tax rate                            | 26.9%     | 21.6%     | 15.0%     | 20.0%     | 20.0%     |
| Total liabilities            | 254,870   | 238,800   | 230,624   | 232,999   | 237,167   | Revenue y/y Growth                  | (0.1%)    | 0.1%      | 40.9%     | 33.7%     | 16.5%     |
| Shareholders' equity         | 346,583   | 355,666   | 382,677   | 417,870   | 448,639   | EBITDA y/y Growth                   | (8.9%)    | 13.3%     | 137.8%    | 90.9%     | 6.9%      |
| Minority interests           | 16,020    | 16,133    | 21,672    | 33,913    | 54,892    | EPS y/y Growth                      | (47.1%)   | 35.3%     | 1820.5%   | 62.2%     | 9.3%      |
| Total liabilities & equity   | 617,473   | 610,598   | 634,974   | 684,782   | 740,699   |                                     |           |           |           |           |           |
| BVPS                         | 43.70     | 44.85     | 48.25     | 52.69     | 56.57     |                                     |           |           |           |           |           |
| y/y Growth                   | (3.8%)    | 2.6%      | 7.6%      | 9.2%      | 7.4%      |                                     |           |           |           |           |           |
| Net debt/(cash)              | 97,939    | 126,934   | 113,725   | 97,174    | 53,474    |                                     |           |           |           |           |           |
| Valuation                    |           |           |           |           |           |                                     | FY24A     | FY25A     | FY26E     | FY27E     | FY28E     |
|                              |           |           |           |           |           | P/E (x)                             | 431.0     | 318.6     | 16.6      | 10.2      | 9.4       |
|                              |           |           |           |           |           | P/BV (x)                            | 4.2       | 4.0       | 3.8       | 3.4       | 3.2       |
|                              |           |           |           |           |           | EV/EBITDA (x)                       | 67.1      | 60.4      | 25.3      | 13.2      | 12.2      |
|                              |           |           |           |           |           | Dividend Yield                      | 0.4%      | 0.4%      | 4.2%      | 7.3%      | 8.6%      |

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which



## Overweight

6505.TW, 6505 TT  
Price (09 Jul 26):NT\$58.80

▲ **Price Target (Jun-27):NT\$70.00**  
Prior (Jun-27):NT\$65.00

### Head of Asia Energy & Chemicals | Asia EV Battery

Parsley Ong <sup>AC</sup>

(65) 6882-8578

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J.P. Morgan Securities Singapore Private Limited/  
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.  
Morgan Broking (Hong Kong) Limited

### Key Changes (FYE Dec)

|                       | Prev | Cur  | Δ     |
|-----------------------|------|------|-------|
| Adj. EPS - 26E (NT\$) | 3.60 | 5.86 | 62.6% |

### Style Exposure

| Quant Factors | Current | Hist %Rank (1=Top) |    |    |    |
|---------------|---------|--------------------|----|----|----|
|               | %Rank   | 6M                 | 1Y | 3Y | 5Y |
| Value         | 34      | 39                 | 66 | 61 | 70 |
| Growth        | 75      | 91                 | 80 | 25 | 23 |
| Momentum      | 34      | 46                 | 95 | 70 | 59 |
| Quality       | 94      | 90                 | 88 | 94 | 94 |
| Low Vol       | 60      | 41                 | 28 | 13 | 25 |

## Formosa Petrochemical Corp

### Normalized 3Q GRM well-expected; continued geopolitical uncertainty might introduce 2H margin upside

On 9 July, Russia announced a “full” diesel export ban restricting both exports of domestically produced and traded diesel products, in an expansion to the existing ban on traded product only. The new measure came as Russia refinery utilization hit a new low since the Ukraine war at 3.8mbd (-1,5 mbd y/y), sending the domestic diesel price surging by >80%. The expanded ban will be in force until 31 July as per the latest announcement, together with the gasoline export ban introduced on 1 April. Russia is the world’s second-largest diesel exporter (0.8mbd), and we estimate 0.4mbd of m/m diesel supply loss into July, representing 6% of 2025 global diesel exports. We expect these developments to introduce upside to FPCC’s 2H refining margin, given its 80% /50% export exposure to diesel/gasoline output. With a likely 3Q earnings normalization, we see the beat-and-raise on FPCC to continue through 2H with a JPMc FY26 NP of NT\$56bn, 46% above consensus. We are raising our Jun-27 PT to NT\$70/shr, and note an FY26/27E yield of 6.3%. We remain OW but note that FPCC is the lowest in our Formosa group pecking order for 2026.

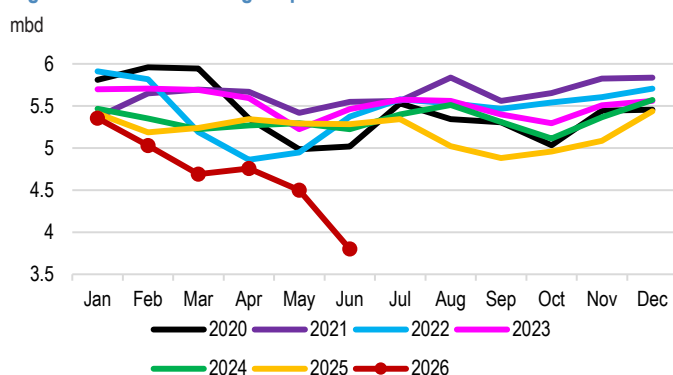
- **GRM tilt to upside risk into 2H? Russia refinery run hits lowest level since the start of the Ukraine war.** Russian refinery throughput dropped to 3.8mbd into Jun-26 (-0.7mbd m/m), as intensifying drone strikes from Ukraine in the past three months put >2mbd of refinery capacity under repeated repairs, hence impacting product yields. As we have noted, Russian refinery runs have dropped to a new post-war low since March against the backdrop of the Hormuz closure, accounting for 1.6mbd of run loss in 2026e. Together with Middle East run cut (>3mbd of disruption in Jun on Rystad’s estimates) and high uncertainty on the repairs timeline of damaged capacity, we see upside to our FY26E GRM forecast of \$25/bbl GRM, which has embedded only 1mbd/1.5mbd of Russia/Middle East run cuts.
- **Russia announced a full diesel export ban on 9 July:** The 1.5 mbd y/y loss in Russia refinery run has sent the domestic diesel price surging by >80% YTD, mirroring the move to expand the scope of the diesel export ban from non-producers only to all forms of exports on 9 July. Russia is the world’s second-largest exporter of diesel, supplying about 12% of global diesel exports (0.8 mbd). The latest move will incrementally worsen the already tight market, in our view, with another 0.4mbd supply loss vs. the June level. On 1 April, Russia had already announced a full export ban on gasoline until 31 July. We see these developments as positive for FPCC’s refining segment margin into 2H, as the company exports 80% of diesel and 50% of gasoline output.
- **Higher-for-longer GRM marks \$10/bbl a new through-cycle norm:** As shown in Figure 14, global refining utilization remains on track to reach a near two-decade high with or without geopolitical-driven disruptions due to the past few years of industry consolidation. On the back of higher utilization and geopolitical uncertainty, we forecast through-cycle GRM to edge to \$10/bbl over the next five years vs. the \$7/bbl in the past 20 years.
- **Olefin a slight drag into 3Q, partially offset by NYT div income:** We expect a sequential decline in FPCC’s 3Q earnings following the past two quarters of strong beats, with NP at NT\$3.7bn vs. 1Q-2Q >NT\$20bn – this should be mainly driven by normalization in refining margin post-Hormuz reopening and olefin turning back to losses on a weak product spread and an inventory headwind. Slightly positive offsetting factors include a sequential recovery in both refining and olefin utilization (FPCC lifted force majeure

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

on 9 June) along with NT\$0.6bn dividend income. The 3Q weakness should have been largely expected as the product margin normalizes since the US-Iran MoU on 18 June (Figure 15), with all eyes still on geopolitical developments.

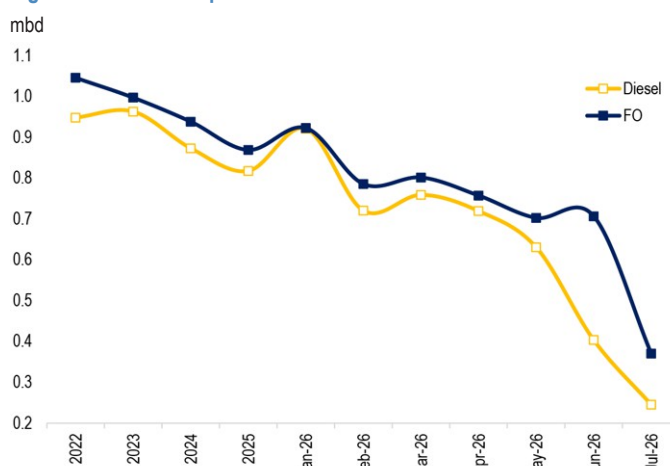
- **Earnings and PT changes:** Post-2Q beat, we are raising FY26 NP estimates for FPCC by ~60% to factor in a higher GRM/utilization assumption and Mailiao Power contribution (temporarily re-started due to the Middle East conflict) but trim FY27-28E OP as the olefin spread outlook remains challenging on >10mtpa of C2 capacity addition into 2H26. We are raising our Jun- PT to NT\$70/shr on an unchanged target P/B multiple of 2x, mirroring an FY26E/27E dividend of 6.3%.

Figure 11: Russia refining output



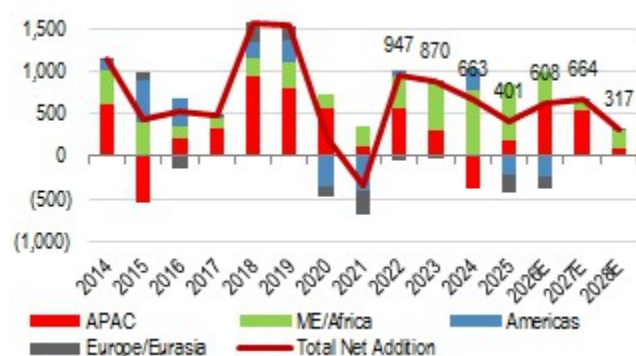
Source: OilX, Bloomberg Finance L.P., J.P. Morgan.

Figure 12: Russia exports of diesel and fuel oil



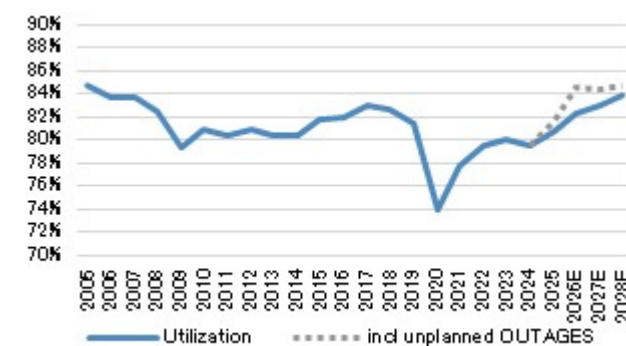
Source: Kpler, J.P. Morgan.

Figure 13: Global refining capacity additions



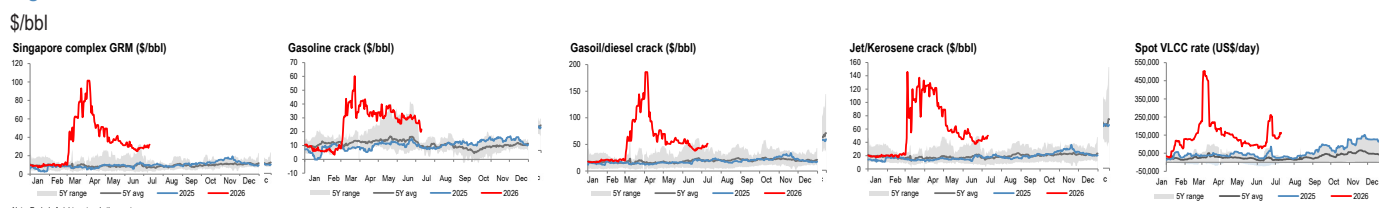
Source: ICIS, Wood Mackenzie, company data, J.P. Morgan.

Figure 14: Global refining utilization



Source: ICIS, Wood Mackenzie, company data, J.P. Morgan.

Figure 15: Asia GRM dashboard



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 16: FPCC quarterly earnings

| NT\$m                                | 1Q25    | 2Q25    | 3Q25    | 4Q25    | 1Q26    | 2Q26    | 3Q26e   | 4Q26e   | 2022     | 2023     | 2024    | 2025     | 2026e   | 2027e   |
|--------------------------------------|---------|---------|---------|---------|---------|---------|---------|---------|----------|----------|---------|----------|---------|---------|
| <b>Net Sales</b>                     | 173,267 | 145,547 | 163,529 | 143,815 | 161,989 | 182,983 | 216,886 | 216,886 | 848,048  | 712,576  | 663,823 | 626,159  | 815,728 | 751,160 |
| <b>Operating Income</b>              | 3,733   | (7,399) | 9,284   | 5,261   | 24,511  | 22,881  | 3,261   | 8,544   | 5,420    | 15,405   | (651)   | 10,879   | 59,198  | 32,817  |
| Refining                             | 2,100   | (6,000) | 7,884   | 8,461   | 21,967  | 18,620  | 3,000   | 3,628   | 28,420   | 17,543   | (3,492) | 12,445   | 47,214  | 25,126  |
| Olefins                              | (800)   | (4,899) | (2,500) | (4,200) | 1,000   | 2,000   | (2,000) | 2,655   | (12,000) | (12,247) | (7,200) | (12,399) | 3,655   | (591)   |
| Utilities/other                      | 2,433   | 3,500   | 3,900   | 1,000   | 1,545   | 2,261   | 2,261   | 2,261   | (11,000) | 10,108   | 10,040  | 10,833   | 8,328   | 8,282   |
| <b>Operating margin</b>              | 2.2%    | -5.1%   | 5.7%    | 3.7%    | 15.1%   | 12.5%   | 1.5%    | 3.9%    | 0.6%     | 2.2%     | -0.1%   | 1.7%     | 7.3%    | 4.4%    |
| <b>Non-operating Income</b>          | 1,086   | (2,126) | 1,420   | 1,453   | 1,105   | 3,088   | 1,078   | 554     | 11,548   | 9,289    | 7,219   | 1,833    | 5,705   | 11,651  |
| Div income (NYT-3Q, FPC/FCFC-2Q)     |         | 13      | 395     | (0)     |         | 120     | 978     |         | 4,171    | 2,067    | 511     | 408      | 978     | 7,759   |
| FX                                   | 820     | (3,600) | 840     | 2,590   | 940     | 370     |         |         | 5,153    | 1,284    | 3,084   | 650      | 1,310   | 2,000   |
| Other gain/loss                      | 266     | 1,462   | 185     | (1,137) | 165     | 2,598   | 100     | 554     | 2,225    | 5,938    | 3,623   | 776      | 3,417   | 1,892   |
| <b>Pre-tax Income</b>                | 4,819   | (9,525) | 10,704  | 6,714   | 25,616  | 25,969  | 4,339   | 9,099   | 16,968   | 24,694   | 6,567   | 12,712   | 64,903  | 44,468  |
| <b>Net Income</b>                    | 3,685   | (7,505) | 8,584   | 5,111   | 20,408  | 20,778  | 3,732   | 9,466   | 14,422   | 21,889   | 5,971   | 9,875    | 55,819  | 38,244  |
| EPS                                  | 0.39    | (0.79)  | 0.90    | 0.54    | 2.14    | 2.18    | 0.39    | 0.99    | 1.51     | 2.30     | 0.63    | 1.04     | 5.86    | 4.01    |
| Shares outstanding (mn)              | 9,526   | 9,526   | 9,526   | 9,526   | 9,526   | 9,526   | 9,526   | 9,526   | 9,526    | 9,526    | 9,526   | 9,526    | 9,526   | 9,526   |
| <b>ROE%</b>                          |         |         |         |         |         |         |         |         | 4%       | 7%       | 2%      | 3%       | 15%     | 10%     |
| <b>Commodity trends</b>              |         |         |         |         |         |         |         |         |          |          |         |          |         |         |
| Reported FPCC GRM (\$/bbl)           | 7.7     | 9.9     | 9.6     | 15.0    | 20.0    |         |         |         | 15.9     | 11.1     | 9.1     | 10.6     | 16.6    |         |
| Ethylene spread (\$/ton)             | 183     | 188     | 206     | 155     | 124     | 243     | 111     |         |          |          |         |          |         |         |
| Propylene spread                     | 175     | 191     | 166     | 159     | 152     | 296     | 211     |         |          |          |         |          |         |         |
| BD spread                            | 719     | 514     | 469     | 313     | 741     | 886     | 401     |         |          |          |         |          |         |         |
| <b>Refinery utilization [540kbd]</b> | 85%     | 78%     | 90%     | 78%     | 81%     | 66%     |         |         | 79%      | 82%      | 75%     | 83%      | 84%     |         |
| <b>Olefins utilization</b>           | 58%     | 59%     | 62%     | 59%     | 53%     | 33%     |         |         | 74%      | 61%      | 53%     | 60%      | 55%     |         |
| <b>Consensus</b>                     |         |         |         |         |         |         |         |         |          |          |         |          |         |         |
| Sales                                | 173,267 | 145,547 | 163,529 | 153,045 | 149,297 | 170,142 | 184,587 | 179,840 | 846,227  | 733,602  | 691,383 | 635,389  | 687,821 | 683,578 |
| OP                                   | 3,733   | (7,399) | 9,284   | 7,525   | 5,842   | 8,655   | 4,703   | 6,057   | 25,397   | 19,687   | 11,822  | 13,142   | 38,064  | 28,756  |
| NP                                   | 3,685   | (7,505) | 8,584   | 7,747   | 5,372   | 7,533   | 4,771   | 5,409   | 29,817   | 22,764   | 13,716  | 12,511   | 38,348  | 29,583  |

Source: Company data, J.P. Morgan estimates.

## Price Performance



|     | YTD    | 1m    | 3m     | 12m    |
|-----|--------|-------|--------|--------|
| Abs | 23.0%  | 12.2% | 11.6%  | 60.9%  |
| Rel | -33.6% | 10.8% | -18.5% | -40.5% |

## Company Data

|                             |             |
|-----------------------------|-------------|
| Shares O/S (mn)             | 9,526       |
| 52-week range (NT\$)        | 68.20-34.90 |
| Market cap (\$ mn)          | 17,401      |
| Exchange rate               | 32.19       |
| Free float (%)              | 12.4%       |
| 3M ADV (mn)                 | 11.15       |
| 3M ADV (\$ mn)              | 18.8        |
| Volatility (90 Day)         | 52          |
| Index                       | TAIEX       |
| BBG ANR (Buy   Hold   Sell) | 6 1 1       |

## Key Metrics (FYE Dec)

| NT\$ in millions           | FY25A   | FY26E   | FY27E   | FY28E   |
|----------------------------|---------|---------|---------|---------|
| <b>Financial Estimates</b> |         |         |         |         |
| Revenue                    | 626,159 | 815,728 | 751,160 | 731,719 |
| Adj. EBITDA                | 24,042  | 72,091  | 45,240  | 58,347  |
| Adj. EBIT                  | 10,879  | 59,198  | 32,817  | 46,337  |
| Adj. net income            | 9,875   | 55,819  | 38,233  | 60,609  |
| Adj. EPS                   | 1.04    | 5.86    | 4.01    | 6.36    |
| BBG EPS                    | 1.21    | 4.19    | 2.88    | 5.45    |
| Cashflow from operations   | 44,867  | 32,511  | 52,465  | 57,187  |
| FCFF                       | 38,009  | 20,265  | 34,990  | 49,676  |
| <b>Margins and Growth</b>  |         |         |         |         |
| Revenue Growth Y/Y (%)     | (5.7%)  | 30.3%   | (7.9%)  | (2.6%)  |
| EBITDA margin              | 3.8%    | 8.8%    | 6.0%    | 8.0%    |
| EBITDA Growth Y/Y (%)      | 95.2%   | 199.9%  | (37.2%) | 29.0%   |
| EBIT margin                | 1.7%    | 7.3%    | 4.4%    | 6.3%    |
| Net margin                 | 1.6%    | 6.8%    | 5.1%    | 8.3%    |
| Adj. EPS growth            | 65.4%   | 465.2%  | (31.5%) | 58.5%   |
| <b>Ratios</b>              |         |         |         |         |
| Adj. tax rate              | 22.3%   | 14.0%   | 14.0%   | 14.0%   |
| Interest cover             | NM      | NM      | NM      | NM      |
| Net debt/Equity            | NM      | NM      | NM      | NM      |
| Net debt/EBITDA            | NM      | NM      | NM      | NM      |
| ROCE                       | 2.8%    | 15.6%   | 8.1%    | 11.7%   |
| ROE                        | 3.0%    | 14.8%   | 9.7%    | 15.6%   |
| <b>Valuation</b>           |         |         |         |         |
| FCFF yield                 | 6.8%    | 3.6%    | 6.2%    | 8.9%    |
| Dividend yield             | 2.0%    | 7.5%    | 7.5%    | 8.1%    |
| EV/Revenue                 | 0.7     | 0.5     | 0.6     | 0.6     |
| EV/EBITDA                  | 19.1    | 6.1     | 9.7     | 7.2     |
| Adj. P/E                   | 56.7    | 10.0    | 14.7    | 9.2     |

## Summary Investment Thesis and Valuation

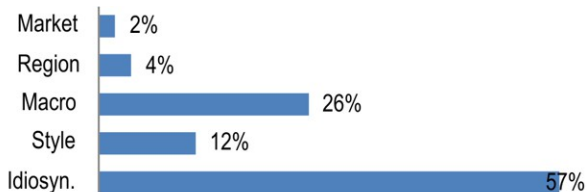
### Investment Thesis

FPCC is the only listed refinery in Taiwan, and it also operates a naphtha cracker and coal-fired powergen plant which supplies the rest of the Formosa group companies with intermediate feedstocks and electricity. FPCC is one of the largest single-site ethylene producers in Asia, with 2.9mn tonnes annual capacity. It has no PX exposure. It is a constituent stock in the TWSE index, but with a free float of only 10-15% due to the various Formosa companies' shareholdings. We forecast 2026 Asia GRMs to rise by \$5/bbl y/y and remain mid-LT positive on refining due to limited net capacity additions. We expect the company's chemical losses to gradually narrow in the coming years as more capacities shut down due to China's anti-involution measures and the voluntary exit of obsolete capacities.

### Valuation

Our Jun-2027 PT of NT\$70 is based on 2x P/B, which is 1SD below the historical 10-year average of 2.6x P/B and reflects a 2027E ROE of >10% (historical 10Y avg ROE 12%).

## Performance Drivers



| Factors                      | 6M Corr | 1Y Corr |
|------------------------------|---------|---------|
| Market: MSCI Asia Pac ex JP  | -0.07   | -0.13   |
| Region: Taiwan               | -0.15   | -0.20   |
| <b>Macro:</b>                |         |         |
| JPM China A-shares Sentiment | -0.47   | -0.28   |
| Markit EM Composite PMI SA   | 0.36    | 0.26    |
| US 10 Year Yield             | -0.16   | -0.17   |
| <b>Quant Styles:</b>         |         |         |
| Momentum                     | 0.42    | 0.15    |
| Growth                       | 0.12    | -0.11   |
| Size                         | 0.27    | 0.10    |

## Investment Thesis, Valuation and Risks

### **Formosa Petrochemical Corp** (*Overweight; Price Target: NT\$70.00*)

#### **Investment Thesis**

FPCC is the only listed refinery in Taiwan, and it also operates a naphtha cracker and coal-fired powergen plant which supplies the rest of the Formosa group companies with intermediate feedstocks and electricity. FPCC is one of the largest single-site ethylene producers in Asia, with 2.9mn tonnes annual capacity. It has no PX exposure. It is a constituent stock in the TWSE index, but with a free float of only 10-15% due to the various Formosa companies' shareholdings. We forecast 2026 Asia GRMs to rise by \$5/bbl y/y and remain mid-LT positive on refining due to limited net capacity additions. We expect the company's chemical losses to gradually narrow in the coming years as more capacities shut down due to China's anti-involution measures and the voluntary exit of obsolete capacities.

#### **Valuation**

Our Jun-2027 PT of NT\$70 is based on 2x P/B, which is 1SD below the historical 10-year average of 2.6x P/B and reflects a 2027E ROE of >10% (historical 10-year average ROE of 12%).

#### **Risks to Rating and Price Target**

Downside risks include: (1) a sharp increase in logistics and freight costs; (2) unplanned outages; and (3) a sharp decline in oil prices, which might result in inventory losses.



## Formosa Petrochemical Corp: Summary of Financials

| Income Statement             |           |           |           |           |           | Cash Flow Statement                 |          |          |          |          |           |
|------------------------------|-----------|-----------|-----------|-----------|-----------|-------------------------------------|----------|----------|----------|----------|-----------|
|                              | FY24A     | FY25A     | FY26E     | FY27E     | FY28E     |                                     | FY24A    | FY25A    | FY26E    | FY27E    | FY28E     |
| Revenue                      | 663,823   | 626,159   | 815,728   | 751,160   | 731,719   | Cash flow from operating activities | 11,909   | 44,867   | 32,511   | 52,465   | 57,187    |
| COGS                         | (653,509) | (604,091) | (741,953) | (704,920) | (672,307) | o/w Depreciation & amortization     | 12,967   | 13,163   | 12,893   | 12,423   | 12,010    |
| Gross profit                 | 10,314    | 22,068    | 73,775    | 46,240    | 59,413    | o/w Changes in working capital      | (6,523)  | 17,304   | (36,249) | 8,427    | 4,642     |
| SG&A                         | (10,616)  | (10,839)  | (14,120)  | (13,002)  | (12,666)  | Cash flow from investing activities | (11,433) | 3,102    | (1,898)  | (6,898)  | 3,102     |
| Adj. EBITDA                  | 12,316    | 24,042    | 72,091    | 45,240    | 58,347    | o/w Capital expenditure             | (9,484)  | (6,488)  | (11,488) | (16,488) | (6,488)   |
| D&A                          | (12,967)  | (13,163)  | (12,893)  | (12,423)  | (12,010)  | as % of sales                       | 1.4%     | 1.0%     | 1.4%     | 2.2%     | 0.9%      |
| Adj. EBIT                    | (651)     | 10,879    | 59,198    | 32,817    | 46,337    | Cash flow from financing activities | (15,674) | (23,306) | 1,997    | (45,764) | (42,914)  |
| Net Interest                 | 422       | 476       | 881       | 1,147     | 1,190     | o/w Dividends paid                  | (19,052) | (7,619)  | (11,431) | (41,864) | (41,864)  |
| Adj. PBT                     | 6,567     | 12,712    | 64,903    | 44,454    | 70,472    | o/w Shares issued/(repurchased)     | 0        | 0        | 0        | 0        | 0         |
| Tax                          | (756)     | (2,837)   | (9,086)   | (6,224)   | (9,866)   | o/w Net debt issued/(repaid)        | 4,448    | (14,846) | -        | -        | -         |
| Minority Interest            | 160       | 1         | 3         | 2         | 3         | Net change in cash                  | (14,919) | 24,536   | 32,610   | (197)    | 17,375    |
| Adj. Net Income              | 5,971     | 9,875     | 55,819    | 38,233    | 60,609    | Adj. Free cash flow to firm         | 2,052    | 38,009   | 20,265   | 34,990   | 49,676    |
| Reported EPS                 | 0.63      | 1.04      | 5.86      | 4.01      | 6.36      | y/y Growth                          | (94.9%)  | 1752.3%  | (46.7%)  | 72.7%    | 42.0%     |
| Adj. EPS                     | 0.63      | 1.04      | 5.86      | 4.01      | 6.36      |                                     |          |          |          |          |           |
| DPS                          | 0.80      | 1.20      | 4.39      | 4.39      | 4.77      |                                     |          |          |          |          |           |
| Payout ratio                 | 127.6%    | 115.8%    | 75.0%     | 109.5%    | 75.0%     |                                     |          |          |          |          |           |
| Shares outstanding           | 9,526     | 9,526     | 9,526     | 9,526     | 9,526     |                                     |          |          |          |          |           |
| Balance Sheet                | FY24A     | FY25A     | FY26E     | FY27E     | FY28E     | Ratio Analysis                      | FY24A    | FY25A    | FY26E    | FY27E    | FY28E     |
| Cash and cash equivalents    | 22,988    | 47,524    | 80,134    | 79,937    | 97,312    | Gross margin                        | 1.6%     | 3.5%     | 9.0%     | 6.2%     | 8.1%      |
| Accounts receivable          | 48,406    | 44,591    | 60,576    | 55,781    | 54,338    | EBITDA margin                       | 1.9%     | 3.8%     | 8.8%     | 6.0%     | 8.0%      |
| Inventories                  | 77,546    | 65,291    | 87,717    | 83,339    | 79,483    | EBIT margin                         | (0.1%)   | 1.7%     | 7.3%     | 4.4%     | 6.3%      |
| Other current assets         | 58,374    | 99,641    | 99,641    | 99,641    | 99,641    | Net profit margin                   | 0.9%     | 1.6%     | 6.8%     | 5.1%     | 8.3%      |
| Current assets               | 207,314   | 257,047   | 328,069   | 318,699   | 330,774   | ROE                                 | 1.9%     | 3.0%     | 14.8%    | 9.7%     | 15.6%     |
| PP&E                         | 93,691    | 91,430    | 87,501    | 84,042    | 80,996    | ROA                                 | 1.5%     | 2.5%     | 12.5%    | 8.2%     | 13.2%     |
| LT investments               | 36,845    | 35,339    | 31,805    | 28,624    | 25,762    | ROCE                                | (0.2%)   | 2.8%     | 15.6%    | 8.1%     | 11.7%     |
| Other non current assets     | 33,349    | 32,645    | 29,706    | 27,060    | 24,679    | SG&A/Sales                          | 1.6%     | 1.7%     | 1.7%     | 1.7%     | 1.7%      |
| Total assets                 | 371,200   | 416,461   | 477,081   | 458,425   | 462,211   | Net debt/Equity                     | NM       | NM       | NM       | NM       | NM        |
| Short term borrowings        | 18,150    | 9,894     | 27,947    | 25,097    | 26,147    | Net debt/EBITDA                     | NM       | NM       | NM       | NM       | NM        |
| Payables                     | 11,561    | 12,794    | 14,956    | 14,210    | 13,552    | Sales/Assets (x)                    | 1.7      | 1.6      | 1.8      | 1.6      | 1.6       |
| Other short term liabilities | 19,001    | 19,021    | 19,021    | 19,021    | 19,021    | Assets/Equity (x)                   | 1.2      | 1.2      | 1.2      | 1.2      | 1.2       |
| Current liabilities          | 48,712    | 41,709    | 61,924    | 58,328    | 58,720    | Interest cover (x)                  | NM       | NM       | NM       | NM       | NM        |
| Long-term debt               | 15,415    | 8,825     | 4,200     | 3,150     | 1,050     | Operating leverage                  | 1523.4%  | 31196.0% | 1467.1%  | 563.0%   | (1591.9%) |
| Other long term liabilities  | 4,826     | 4,683     | 4,683     | 4,683     | 4,683     | Tax rate                            | 11.5%    | 22.3%    | 14.0%    | 14.0%    | 14.0%     |
| Total liabilities            | 68,953    | 55,216    | 70,807    | 66,161    | 64,453    | Revenue y/y Growth                  | (6.8%)   | (5.7%)   | 30.3%    | (7.9%)   | (2.6%)    |
| Shareholders' equity         | 296,961   | 355,792   | 400,818   | 386,807   | 392,298   | EBITDA y/y Growth                   | (60.9%)  | 95.2%    | 199.9%   | (37.2%)  | 29.0%     |
| Minority interests           | 5,286     | 5,453     | 5,456     | 5,458     | 5,460     | EPS y/y Growth                      | (72.7%)  | 65.4%    | 465.2%   | (31.5%)  | 58.5%     |
| Total liabilities & equity   | 371,200   | 416,461   | 477,081   | 458,425   | 462,211   | Valuation                           | FY24A    | FY25A    | FY26E    | FY27E    | FY28E     |
| BVPS                         | 31.17     | 37.35     | 42.08     | 40.61     | 41.18     | P/E (x)                             | 93.8     | 56.7     | 10.0     | 14.7     | 9.2       |
| y/y Growth                   | (11.7%)   | 19.8%     | 12.7%     | (3.5%)    | 1.4%      | P/BV (x)                            | 1.9      | 1.6      | 1.4      | 1.4      | 1.4       |
| Net debt/(cash)              | (17,648)  | (105,208) | (124,390) | (128,093) | (146,517) | EV/EBITDA (x)                       | 44.5     | 19.1     | 6.1      | 9.7      | 7.2       |
|                              |           |           |           |           |           | Dividend Yield                      | 1.4%     | 2.0%     | 7.5%     | 7.5%     | 8.1%      |

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

## Overweight

1301.TW, 1301 TT  
Price (09 Jul 26):NT\$54.80

▲ **Price Target (Jun-27):NT\$65.00**  
Prior (Jun-27):NT\$60.00

### Head of Asia Energy & Chemicals | Asia EV Battery

Parsley Ong <sup>AC</sup>

(65) 6882-8578

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J.P. Morgan Securities Singapore Private Limited/  
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.  
Morgan Broking (Hong Kong) Limited

### Key Changes (FYE Dec)

|                       | Prev | Cur  | Δ     |
|-----------------------|------|------|-------|
| Adj. EPS - 26E (NT\$) | 0.88 | 1.75 | 99.2% |
| Adj. EPS - 27E (NT\$) | 1.91 | 2.25 | 17.5% |

### Style Exposure

| Quant Factors | Current %Rank | Hist %Rank (1=Top) |    |    |    |
|---------------|---------------|--------------------|----|----|----|
|               |               | 6M                 | 1Y | 3Y | 5Y |
| Value         | 83            | 79                 | 93 | 55 | 52 |
| Growth        | 99            | 100                | 63 | 87 | 66 |
| Momentum      | 82            | 98                 | 93 | 74 | 48 |
| Quality       | 97            | 96                 | 90 | 79 | 83 |
| Low Vol       | 53            | 42                 | 31 | 15 | 22 |
| ESGQ          | 92            | 99                 | 98 | 86 | 13 |

## Formosa Plastics Corp

### Looking beyond 3Q weakness; 2026 earnings contribution from US ECC to improve in a \$70-80/bbl environment

- Integrated US PVC production to remain competitive in a \$70-\$80/bbl environment.** FPC operates a 1.2mtpa ethane cracker in the US under its associate, Formosa Olefins (33% stake, hereafter OL3), which supplies ethylene feedstock for the PVC production at FPC's downstream-focused US associate, FPC USA. FPC USA also holds a 46% stake in OL3. Since the escalation of the Middle East conflict, Asia ECC margins expanded 5x in Apr vs. Feb due to a naphtha price >40% surge vs. US ethane largely steady (Figure 18). Against this backdrop, FPC saw the equity method income contribution from OL3 surging to NT\$1.1bn in 2Q vs. 1Q NT\$0.2bn while FPC USA turned from a minor loss to >NT\$8bn in profit (Figure 19). While a re-treating oil price has reversed some of the pricing gains into June with the North America PVC contract price -7% m/m, the pricing level remains ~10% above the pre-conflict level. We expect FPC's integrated PVC production structure to remain competitive in a \$70-80/bbl environment. As our North America Chemicals analyst Jeff Zekauskas wrote, "A general rule is that for each \$10/bbl change in oil, an integrated margin for North American companies changes by 4-5 cents per pound."
- US operation restructuring to boost efficiency.** On 6 March, FPC disclosed that its Board of Directors has approved to sell its entire stake in its wholly-owned subsidiary, Formosa Industries Corp USA (FIC), to FPC USA (FPC owns 22.6%) in exchange for a stake increase in the latter. FIC is the entity currently holding FPC's 33% direct stake in OL3 while FPC USA owns 46% of the US ECC. Upon transaction completion, FPC USA will hold 79% of the upstream ECC, while FPC's stake in FPC USA will increase to 24.82%. The restructuring was motivated by better feedstock supply coordination for FPC USA's 30ktpa C6 PE capacity, as FIC commenced its new 100ktpa C6 capacity in May 2026. We note that FPC will no longer hold a direct stake in FPC olefin thereafter, with earnings contribution via equity method income fully integrated with that from FPC USA. Management has [guided](#) to a NT\$1bn of one-off gain from the FIC stake sale, set to be recognized in 3Q.
- 3Q OP weighed by faded inventory cost effect.** Management has guided to a weaker q/q revenue as product prices normalize. FPC booked the highest OP since 3Q22 in 2Q, though we expect majority of the gains to fade into 3Q given the one-off nature of the raw material lagging effect. The company is also set to conduct a capacity turnaround during the quarter (Mailiao PVC/VCM/CA/LLDPE, Ningbo PVC/AE/SAP, and US PE #3). Despite the slight increase in maintenance, the company guided to a recovery in overall utilization as feedstock supply gradually normalizes. While we forecast core OP to tilt back to the red in 3Q, spreads remain well above the pre-conflict levels seen in 2H25/1Q26 and we continue to forecast a gradual multi-year recovery in chemicals. Meanwhile, one-off gains from the FIC stake sale and NT\$1.1bn of dividend income (NYT) should provide a boost in 3Q.
- Earnings and PT changes:** Post-2Q beat, we are raising our FY26-27 NP estimates to factor in higher equity method income contribution from FPCC and FPC USA and dividend income from NYT, while the core operating trend remains lackluster as the positive feedstock cost effect fades. We are raising our Jun- PT to NT\$65/shr on an unchanged target P/B multiple of 1.3x.

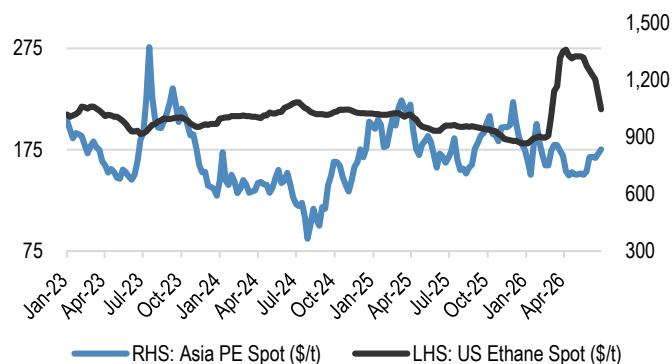
Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Figure 17: FPC quarterly earnings

| (NT\$m)                 | 1Q25          | 2Q25           | 3Q25           | 4Q25           | 1Q26           | 2Q26          | 3Q26e         | 4Q26e         | 2025            | 2026e          | 2027e          | 2028e          |
|-------------------------|---------------|----------------|----------------|----------------|----------------|---------------|---------------|---------------|-----------------|----------------|----------------|----------------|
| <b>Revenue</b>          | <b>47,202</b> | <b>45,387</b>  | <b>41,718</b>  | <b>41,104</b>  | <b>41,985</b>  | <b>47,254</b> | <b>46,997</b> | <b>46,997</b> | <b>175,411</b>  | <b>172,975</b> | <b>184,316</b> | <b>189,813</b> |
| <b>Operating Income</b> | <b>(895)</b>  | <b>(1,566)</b> | <b>(2,694)</b> | <b>(2,364)</b> | <b>(1,305)</b> | <b>2,800</b>  | <b>(207)</b>  | <b>752</b>    | <b>(7,518)</b>  | <b>(540)</b>   | <b>(44)</b>    | <b>753</b>     |
| <b>OPM</b>              | <b>-1.9%</b>  | <b>-3.5%</b>   | <b>-6.5%</b>   | <b>-5.8%</b>   | <b>-3.1%</b>   | <b>5.9%</b>   | <b>-0.4%</b>  | <b>1.6%</b>   | <b>-4.3%</b>    | <b>-0.3%</b>   | <b>0.0%</b>    | <b>0.4%</b>    |
| Dividend income         |               | 166            | 815            | 1              | -              | 230           | 1,155         |               | 981             | 1,155          | 9,435          | 15,169         |
| Equity Income           | 1,540         | (2,747)        | 1,782          | (169)          | 5,046          | 8,350         | 174           | 1,811         | 406             | 15,946         | 11,148         | 18,004         |
| FPCC (28.56%)           | 1,030         | (2,110)        | 2,430          | 1,470          | 5,698          | 5,910         | 1,066         | 2,703         | 2,820           | 15,942         | 10,892         | 17,313         |
| FPC USA (24.8%)         | 761           | (357)          | (267)          | (1,175)        | 92             | 2,990         | (1,052)       | (1,052)       | (1,850)         | 977            | 1,581          | 2,016          |
| Other                   | (251)         | (281)          | (381)          | (464)          | (744)          | (550)         | 160           | 160           | (565)           | (974)          | (1,325)        | (1,325)        |
| Interest/Other          | (534)         | (2,724)        | (473)          | (352)          | (362)          | (934)         | (934)         | (934)         | (4,084)         | (3,163)        | (3,296)        | (3,423)        |
| <b>Total Non-OP</b>     | <b>1,006</b>  | <b>(5,305)</b> | <b>2,123</b>   | <b>(520)</b>   | <b>4,684</b>   | <b>8,000</b>  | <b>395</b>    | <b>878</b>    | <b>(2,697)</b>  | <b>13,938</b>  | <b>17,287</b>  | <b>29,750</b>  |
| <b>Pre-tax Income</b>   | <b>111</b>    | <b>(6,871)</b> | <b>(571)</b>   | <b>(2,884)</b> | <b>3,379</b>   | <b>10,800</b> | <b>188</b>    | <b>1,630</b>  | <b>(10,215)</b> | <b>13,397</b>  | <b>17,242</b>  | <b>30,503</b>  |
| Tax Expense             | (61)          | 245            | (31)           | 13             | (110)          | (200)         | (32)          | (1,936)       | 166             | (2,278)        | (2,931)        | (5,186)        |
| <b>Net Income</b>       | <b>50</b>     | <b>(6,626)</b> | <b>(602)</b>   | <b>(2,871)</b> | <b>3,269</b>   | <b>10,600</b> | <b>156</b>    | <b>(306)</b>  | <b>(10,049)</b> | <b>11,120</b>  | <b>14,311</b>  | <b>25,318</b>  |
| <b>EPS</b>              | <b>0.01</b>   | <b>(1.04)</b>  | <b>(0.09)</b>  | <b>(0.45)</b>  | <b>0.51</b>    | <b>1.67</b>   | <b>0.02</b>   | <b>(0.05)</b> | <b>(1.58)</b>   | <b>1.75</b>    | <b>2.25</b>    | <b>3.98</b>    |
| <b>% y/y</b>            |               |                |                |                |                |               |               |               |                 |                |                |                |
| Sales                   | -2%           | -11%           | -17%           | -18%           | -11%           | 4%            | 13%           | 14%           | -12%            | -1%            | 7%             | 3%             |
| OP                      | 38%           | -1023%         | -79%           | -71%           | -46%           | 279%          | 92%           | 132%          | -81%            | 93%            | 92%            | 1793%          |
| NP                      | -77%          | -586%          | 81%            | -1143%         | 6379%          | 260%          | 126%          | 89%           | -716%           | 211%           | 29%            | 77%            |

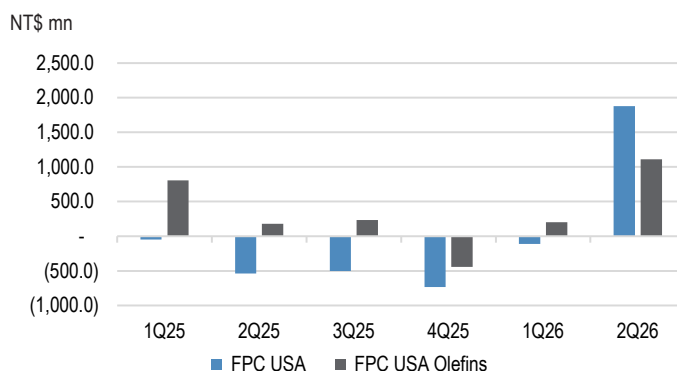
Source: Company data, J.P. Morgan estimates.

Figure 18: Asia PE vs. US ethane spot



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 19: FPC- equity method income contribution from FPC USA and FPC USA Olefin



Source: Company data, J.P. Morgan.

## Price Performance



|     | YTD    | 1m    | 3m     | 12m    |
|-----|--------|-------|--------|--------|
| Abs | 40.5%  | 20.3% | 15.6%  | 60.2%  |
| Rel | -16.1% | 18.9% | -14.5% | -41.1% |

## Company Data

|                             |             |
|-----------------------------|-------------|
| Shares O/S (mn)             | 6,366       |
| 52-week range (NT\$)        | 64.00-33.40 |
| Market cap (\$ mn)          | 10,837      |
| Exchange rate               | 32.19       |
| Free float (%)              | 73.4%       |
| 3M ADV (mn)                 | 41.05       |
| 3M ADV (\$ mn)              | 66.9        |
| Volatility (90 Day)         | 58          |
| Index                       | TAIEX       |
| BBG ANR (Buy   Hold   Sell) | 5 3 1       |

## Key Metrics (FYE Dec)

| NT\$ in millions           | FY25A    | FY26E    | FY27E   | FY28E   |
|----------------------------|----------|----------|---------|---------|
| <b>Financial Estimates</b> |          |          |         |         |
| Revenue                    | 175,411  | 172,975  | 184,316 | 189,813 |
| Adj. EBITDA                | 3,057    | 10,236   | 10,934  | 11,933  |
| Adj. EBIT                  | (7,518)  | (540)    | (44)    | 753     |
| Adj. net income            | (10,049) | 11,120   | 14,311  | 25,318  |
| Adj. EPS                   | (1.58)   | 1.75     | 2.25    | 3.98    |
| BBG EPS                    | (0.62)   | 1.10     | 1.44    | 2.89    |
| Cashflow from operations   | 6,619    | 3,400    | 4,741   | 11,787  |
| FCFF                       | (5,122)  | (1,030)  | 4,420   | 11,573  |
| <b>Margins and Growth</b>  |          |          |         |         |
| Revenue Growth Y/Y (%)     | (12.3%)  | (1.4%)   | 6.6%    | 3.0%    |
| EBITDA margin              | 1.7%     | 5.9%     | 5.9%    | 6.3%    |
| EBITDA Growth Y/Y (%)      | (36.8%)  | 234.9%   | 6.8%    | 9.1%    |
| EBIT margin                | (4.3%)   | (0.3%)   | (0.0%)  | 0.4%    |
| Net margin                 | (5.7%)   | 6.4%     | 7.8%    | 13.3%   |
| Adj. EPS growth            | 715.8%   | (210.7%) | 28.7%   | 76.9%   |
| <b>Ratios</b>              |          |          |         |         |
| Adj. tax rate              | (1.6%)   | 17.0%    | 17.0%   | 17.0%   |
| Interest cover             | 1.1      | 3.3      | 3.4     | 3.6     |
| Net debt/Equity            | 0.0      | 0.1      | 0.1     | 0.1     |
| Net debt/EBITDA            | 3.9      | 1.8      | 2.3     | 2.2     |
| ROCE                       | (1.7%)   | (0.1%)   | (0.0%)  | 0.1%    |
| ROE                        | (3.1%)   | 3.0%     | 3.9%    | 7.0%    |
| <b>Valuation</b>           |          |          |         |         |
| FCFF yield                 | (1.5%)   | (0.3%)   | 1.3%    | 3.3%    |
| Dividend yield             | 0.9%     | 2.2%     | 2.9%    | 5.1%    |
| EV/Revenue                 | 2.1      | 2.1      | 2.0     | 2.0     |
| EV/EBITDA                  | 118.0    | 35.9     | 34.2    | 31.4    |
| Adj. P/E                   | NM       | 31.4     | 24.4    | 13.8    |

## Summary Investment Thesis and Valuation

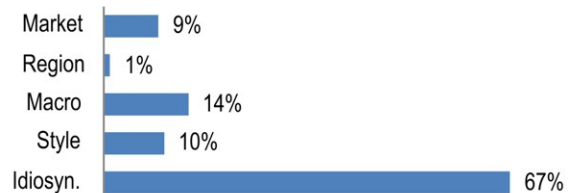
### Investment Thesis

We are OW on FPC as the company is set to benefit from the uplift in both dividends (NYT, NPC) and equity method (FPCC) income from Formosa Group companies. We forecast NP recovering from a NT\$10bn loss in 2025, to >NT\$10bn profit by 2027, coming from an improvement in earnings contribution from its US PVC/ECC operations, and gradual supply-demand rebalancing as some Asian chemical capacities shut down due to government-driven anti-involution measures, or voluntary portfolio optimization.

### Valuation

Our Jun-27 PT of NT\$65 is based on a P/B of 1.3x (15yr avg), reflecting a gradual recovery in 2028E ROE to >7%, vs. a loss in FY24-25. For comparison, FPC's 10-year average P/B and ROE are 1.3x and 8.3%, respectively.

## Performance Drivers



| Factors                     | 6M Corr | 1Y Corr |
|-----------------------------|---------|---------|
| Market: MSCI Asia Pac ex JP | 0.43    | 0.30    |
| Region: Taiwan              | -0.08   | -0.12   |
| <b>Macro:</b>               |         |         |
| Emerging Central Bank Rate  | 0.19    | 0.24    |
| US 10 Year Yield            | -0.30   | -0.21   |
| Citi Economic Surprise - EM | -0.04   | -0.21   |
| <b>Quant Styles:</b>        |         |         |
| Quality                     | -0.14   | -0.19   |
| Growth                      | -0.01   | -0.09   |
| Momentum                    | 0.23    | 0.07    |

## Investment Thesis, Valuation and Risks

### **Formosa Plastics Corp** (*Overweight; Price Target: NT\$65.00*)

#### **Investment Thesis**

We are OW on FPC as the company is set to benefit from the uplift in both dividends (NYT, NPC) and equity method (FPCC) income from Formosa Group companies. We forecast NP recovering from a NT\$10bn loss in 2025, to >NT\$10bn profit by 2027, coming from an improvement in earnings contribution from its US PVC/ECC operations, and gradual supply-demand rebalancing as some Asian chemical capacities shut down due to government-driven anti-involution measures, or voluntary portfolio optimization.

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Our Jun-27 PT of NT\$65 is based on a P/B of 1.3x (15yr avg), reflecting a gradual recovery in 2028E ROE to >7%, vs. a loss in FY24-25. For comparison, FPC's 10-year average P/B and ROE are 1.3x and 8.3%, respectively.

#### **Risks to Rating and Price Target**

Downside risks include weaker-than-expected PE/PVC demand due to China/global construction/consumption, and lower-than-expected contributions from FPCC and FPC USA due to higher feedstock costs or operational issues.



## Formosa Plastics Corp: Summary of Financials

| Income Statement             |           |           |           |           |           | Cash Flow Statement                 |          |          |          |           |            |
|------------------------------|-----------|-----------|-----------|-----------|-----------|-------------------------------------|----------|----------|----------|-----------|------------|
|                              | FY24A     | FY25A     | FY26E     | FY27E     | FY28E     |                                     | FY24A    | FY25A    | FY26E    | FY27E     | FY28E      |
| Revenue                      | 200,040   | 175,411   | 172,975   | 184,316   | 189,813   | Cash flow from operating activities | 11,461   | 6,619    | 3,400    | 4,741     | 11,787     |
| COGS                         | (190,038) | (169,808) | (160,577) | (170,573) | (174,861) | o/w Depreciation & amortization     | 8,996    | 10,575   | 10,777   | 10,978    | 11,180     |
| Gross profit                 | 10,003    | 5,603     | 12,399    | 13,743    | 14,952    | o/w Changes in working capital      | (16,892) | 3,748    | (1,956)  | (568)     | (291)      |
| SG&A                         | (12,516)  | (11,559)  | (11,399)  | (12,146)  | (12,508)  | Cash flow from investing activities | (17,810) | (6,096)  | (7,000)  | (3,000)   | (3,000)    |
| Adj. EBITDA                  | 4,834     | 3,057     | 10,236    | 10,934    | 11,933    | o/w Capital expenditure             | (16,185) | (14,548) | (7,000)  | (3,000)   | (3,000)    |
| D&A                          | (8,996)   | (10,575)  | (10,777)  | (10,978)  | (11,180)  | as % of sales                       | 8.1%     | 8.3%     | 4.0%     | 1.6%      | 1.6%       |
| Adj. EBIT                    | (4,162)   | (7,518)   | (540)     | (44)      | 753       | Cash flow from financing activities | 17,582   | (8,861)  | 1,817    | (2,131)   | (5,018)    |
| Net Interest                 | (2,471)   | (2,853)   | (3,096)   | (3,229)   | (3,356)   | o/w Dividends paid                  | (6,366)  | (3,156)  | (3,183)  | (7,784)   | (10,018)   |
| Adj. PBT                     | (2,414)   | (10,215)  | 13,397    | 17,242    | 30,503    | o/w Shares issued/(repurchased)     | 0        | 0        | 0        | 0         | 0          |
| Tax                          | 1,182     | 166       | (2,278)   | (2,931)   | (5,186)   | o/w Net debt issued/(repaid)        | 25,135   | (9,946)  | 5,000    | 5,653     | 5,000      |
| Minority Interest            | 0         | 0         | 0         | 0         | 0         | Net change in cash                  | 12,053   | (7,568)  | (1,783)  | (391)     | 3,770      |
| Adj. Net Income              | (1,232)   | (10,049)  | 11,120    | 14,311    | 25,318    | Adj. Free cash flow to firm         | (3,463)  | (5,122)  | (1,030)  | 4,420     | 11,573     |
| Reported EPS                 | (0.19)    | (1.58)    | 1.75      | 2.25      | 3.98      | y/y Growth                          | (31.1%)  | 47.9%    | (79.9%)  | (529.0%)  | 161.8%     |
| Adj. EPS                     | (0.19)    | (1.58)    | 1.75      | 2.25      | 3.98      |                                     |          |          |          |           |            |
| DPS                          | 0.50      | 0.50      | 1.22      | 1.57      | 2.78      |                                     |          |          |          |           |            |
| Payout ratio                 | NM        | NM        | 70.0%     | 70.0%     | 70.0%     |                                     |          |          |          |           |            |
| Shares outstanding           | 6,366     | 6,366     | 6,366     | 6,366     | 6,366     |                                     |          |          |          |           |            |
| Balance Sheet                |           |           |           |           |           | Ratio Analysis                      |          |          |          |           |            |
|                              | FY24A     | FY25A     | FY26E     | FY27E     | FY28E     |                                     | FY24A    | FY25A    | FY26E    | FY27E     | FY28E      |
| Cash and cash equivalents    | 18,200    | 10,632    | 8,849     | 8,458     | 12,228    | Gross margin                        | 5.0%     | 3.2%     | 7.2%     | 7.5%      | 7.9%       |
| Accounts receivable          | 14,437    | 12,024    | 13,047    | 13,902    | 14,317    | EBITDA margin                       | 2.4%     | 1.7%     | 5.9%     | 5.9%      | 6.3%       |
| Inventories                  | 24,212    | 17,297    | 19,626    | 20,848    | 21,372    | EBIT margin                         | (2.1%)   | (4.3%)   | (0.3%)   | (0.0%)    | 0.4%       |
| Other current assets         | 49,016    | 115,471   | 115,471   | 115,471   | 115,471   | Net profit margin                   | (0.6%)   | (5.7%)   | 6.4%     | 7.8%      | 13.3%      |
| Current assets               | 105,865   | 155,424   | 156,992   | 158,679   | 163,387   | ROE                                 | (0.4%)   | (3.1%)   | 3.0%     | 3.9%      | 7.0%       |
| PP&E                         | 113,331   | 118,302   | 115,523   | 112,542   | 109,360   | ROA                                 | (0.2%)   | (1.9%)   | 2.0%     | 2.5%      | 4.5%       |
| LT investments               | 244,305   | 251,993   | 257,865   | 258,539   | 262,641   | ROCE                                | (1.4%)   | (1.7%)   | (0.1%)   | (0.0%)    | 0.1%       |
| Other non current assets     | 33,329    | 31,784    | 31,784    | 31,784    | 31,784    | SG&A/Sales                          | 6.3%     | 6.6%     | 6.6%     | 6.6%      | 6.6%       |
| Total assets                 | 496,830   | 557,502   | 562,164   | 561,544   | 567,172   | Net debt/Equity                     | 0.3      | 0.0      | 0.1      | 0.1       | 0.1        |
| Short term borrowings        | 87,530    | 52,416    | 52,416    | 55,569    | 60,569    | Net debt/EBITDA                     | 16.9     | 3.9      | 1.8      | 2.3       | 2.2        |
| Payables                     | 28,427    | 22,848    | 24,243    | 25,753    | 26,400    | Sales/Assets (x)                    | 0.4      | 0.3      | 0.3      | 0.3       | 0.3        |
| Other short term liabilities | 674       | 564       | 564       | 564       | 564       | Assets/Equity (x)                   | 1.6      | 1.6      | 1.5      | 1.5       | 1.6        |
| Current liabilities          | 116,631   | 75,828    | 77,223    | 81,885    | 87,533    | Interest cover (x)                  | 2.0      | 1.1      | 3.3      | 3.4       | 3.6        |
| Long-term debt               | 53,065    | 78,233    | 78,233    | 78,233    | 78,233    | Operating leverage                  | (229.8%) | (655.0%) | 6683.4%  | (1399.7%) | (60108.0%) |
| Other long term liabilities  | 38,154    | 40,219    | 40,219    | 40,219    | 40,219    | Tax rate                            | (49.0%)  | (1.6%)   | 17.0%    | 17.0%     | 17.0%      |
| Total liabilities            | 207,849   | 194,280   | 195,675   | 200,337   | 205,985   | Revenue y/y Growth                  | 0.5%     | (12.3%)  | (1.4%)   | 6.6%      | 3.0%       |
| Shareholders' equity         | 288,981   | 363,222   | 366,489   | 361,207   | 361,188   | EBITDA y/y Growth                   | 25.2%    | (36.8%)  | 234.9%   | 6.8%      | 9.1%       |
| Minority interests           | 0         | 0         | 0         | 0         | 0         | EPS y/y Growth                      | (116.8%) | 715.8%   | (210.7%) | 28.7%     | 76.9%      |
| Total liabilities & equity   | 496,830   | 557,502   | 562,164   | 561,544   | 567,172   |                                     |          |          |          |           |            |
| BVPS                         | 45.40     | 57.06     | 57.57     | 56.74     | 56.74     | Valuation                           |          |          |          |           |            |
| y/y Growth                   | (16.8%)   | 25.7%     | 0.9%      | (1.4%)    | (0.0%)    |                                     | FY24A    | FY25A    | FY26E    | FY27E     | FY28E      |
| Net debt/(cash)              | 81,777    | 11,880    | 18,663    | 24,706    | 25,936    | P/E (x)                             | NM       | NM       | 31.4     | 24.4      | 13.8       |
|                              |           |           |           |           |           | P/BV (x)                            | 1.2      | 1.0      | 1.0      | 1.0       | 1.0        |
|                              |           |           |           |           |           | EV/EBITDA (x)                       | 89.1     | 118.0    | 35.9     | 34.2      | 31.4       |
|                              |           |           |           |           |           | Dividend Yield                      | 0.9%     | 0.9%     | 2.2%     | 2.9%      | 5.1%       |

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

## Formosa Chemicals and Fibre Corp

### Overweight

1326.TW, 1326 TT  
Price (09 Jul 26):NT\$60.00

▲ **Price Target (Jun-27):NT\$70.00**  
Prior (Jun-27):NT\$60.00

#### Head of Asia Energy & Chemicals | Asia EV Battery

##### Parsley Ong <sup>AC</sup>

(65) 6882-8578

parsley.rh.ong@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/  
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.  
Morgan Broking (Hong Kong) Limited

#### Key Changes (FYE Dec)

|                       | Prev | Cur  | Δ     |
|-----------------------|------|------|-------|
| Adj. EPS - 26E (NT\$) | 2.06 | 3.36 | 63.2% |
| Adj. EPS - 27E (NT\$) | 2.81 | 4.42 | 57.5% |

#### Style Exposure

| Quant   | Current | Hist %Rank (1=Top) |    |    |    |
|---------|---------|--------------------|----|----|----|
| Factors | %Rank   | 6M                 | 1Y | 3Y | 5Y |
| Value   | 35      | 60                 | 76 | 66 | 55 |
| Growth  | 93      | 99                 | 58 | 56 | 88 |

Figure 20: FCFC quarterly earnings

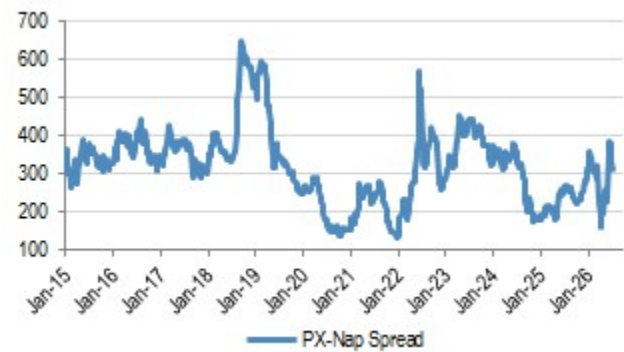
| Unit: NTD in millions                 | 1Q25   | 2Q25    | 3Q25   | 4Q25    | 1Q26   | 2Q26e  | 3Q26e  | 4Q26e   | 2022    | 2023    | 2024    | 2025    | 2026e   | 2027e   | 2028e   |
|---------------------------------------|--------|---------|--------|---------|--------|--------|--------|---------|---------|---------|---------|---------|---------|---------|---------|
| External Revenue                      | 7,909  | 73,548  | 69,576 | 65,001  | 81,749 | 87,154 | 90,903 | 69,297  | 379,897 | 332,620 | 348,608 | 287,034 | 329,103 | 334,170 | 347,752 |
| Operating Income                      | 8,447  | 8,520   | (215)  | (174)   | 3,836  | 2,636  | 3,076  | 1,616   | (5,286) | (3,050) | (1,555) | (4,044) | 11,163  | 8,415   | 9,429   |
| Petrochemicals (PX/PTA/SM/phenol/PIA) | (902)  | (2,894) | (742)  | (1,117) | 2,388  | 736    | 896    | 157     | (1,403) | 686     | (1,866) | (5,655) | 4,177   | 3,578   | 4,198   |
| Low Vol (ABS/PP/PE/PS)                | 5      | (24)    | 17     | (477)   | (83)   | (770)  | 584    | 838     | 1,107   | 525     | (615)   | (2,749) | (1,096) | 1,263   | 1,658   |
| Others                                | 478    | 852     | 611    | 1,713   | 864    | 1,061  | 1,072  | 934     | (3,268) | (987)   | 1,407   | 2,966   | 3,931   | 3,574   | 3,574   |
| FCFC                                  | 99     | 99      | 92     | 93      | 99     | 99     | 99     | 99      | -1.4%   | -0.9%   | -0.4%   | -1.4%   | 3.4%    | 2.5%    | 2.7%    |
| OPM                                   | 0.6%   | 3.4%    | -0.3%  | -0.3%   | 4.7%   | 3.0%   | 3.4%   | 2.3%    | -1.4%   | -0.9%   | -0.4%   | -1.4%   | 3.4%    | 2.5%    | 2.7%    |
| Other Income (FPC, NYT, NPC)          | (763)  | (2,854) | 620    | 1,076   | 698    | 903    | 957    | (3,174) | 12,608  | 3,516   | 342     | (2,012) | (615)   | 6,424   | 17,223  |
| Equity Income (FPCC 24.15%)           | 788    | (1,694) | 1,919  | 36      | 2,761  | 3,481  | (636)  | 874     | 2,268   | 6,921   | 2,150   | 1,048   | 6,480   | 7,532   | 13,298  |
| Total Non-op Income                   | 25     | (4,549) | 2,538  | 1,111   | 3,459  | 4,384  | 322    | (2,300) | 14,876  | 10,437  | 2,492   | (964)   | 5,865   | 13,956  | 30,521  |
| Pre-tax Income                        | (422)  | (7,068) | 2,324  | 937     | 7,295  | 7,020  | 3,398  | (684)   | 9,590   | 7,386   | 937     | (5,008) | 17,028  | 22,371  | 39,951  |
| Parent NI                             | (442)  | (6,840) | 1,780  | 1,113   | 6,245  | 6,093  | 3,742  | 1,994   | 7,359   | 8,548   | 379     | (4,389) | 19,712  | 25,897  | 46,249  |
| EPS                                   | (0.08) | (1.17)  | 0.30   | 0.19    | 1.07   | 1.04   | 0.64   | 0.34    | 1.26    | 1.46    | 0.06    | (0.99)  | 3.36    | 4.42    | 7.89    |
| ROE%                                  |        |         |        |         | (0.10) |        |        |         | 2%      | 3%      | 0%      | -2%     | 6%      | 7%      | 12%     |
| Consensus                             |        |         |        |         |        |        |        |         | 22y     | 23y     | 24y     | 25y     | 26y     | 27y     | 28y     |
| Sales                                 | 80,789 | 78,195  | 73,622 | 75,231  | 69,440 | 78,604 | 77,521 | 75,730  | 384,665 | 323,470 | 353,428 | 308,973 | 313,605 | 305,170 | 327,649 |
| OP                                    | (137)  | (1,175) | (237)  | (1,267) | 50     | 2,082  | 514    | 285     | (1,166) | (2,525) | (211)   | (4,609) | 6,782   | 5,527   | 1,753   |
| NP                                    | 102    | (5,984) | 3,027  | (3,097) | 327    | 1,592  | 868    | 438     | 13,751  | 9,308   | 3,195   | (5,953) | 11,843  | 11,824  | 23,599  |
| EPS                                   | (0.01) | (0.44)  | 0.28   | 0.06    | 0.13   | 0.41   | 0.32   | 0.22    | 2.38    | 1.61    | 0.52    | (0.90)  | 1.80    | 1.48    | 4.03    |
| Sales                                 |        |         |        |         |        |        |        |         | -1%     | 3%      | -1%     | -7%     | 5%      | 10%     | 6%      |
| OP                                    |        |         |        |         |        |        |        |         | 353%    | 21%     | 635%    | -12%    | 65%     | 52%     | 438%    |
| NP                                    |        |         |        |         |        |        |        |         | -46%    | -9%     | -87%    | -26%    | 66%     | 119%    | 96%     |

Source: Company data, J.P. Morgan estimates.

### 3Q volume/margin tailwind; mid-LT recovery on aromatics spread

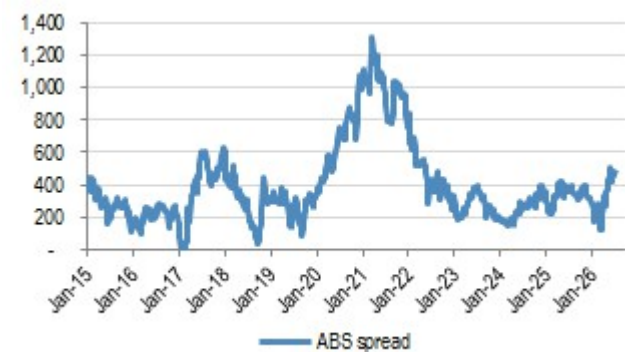
- PX spread rose to highest in two years.** The Asia PX spread saw >130% rebound from the Apr trough to \$380/t into June as the naphtha cost eased, with the MTD spread trending at \$374/t, surpassing the pre-conflict margin of \$305/t and reaching the highest level since 4Q23. On the flip side, the domestic PET chip spread has registered 6 consecutive weeks of compression, reversing a 60% of the gain since ME escalation. Early into the conflict, the spread response diverged across the value chain – the PX margin saw a quick collapse as the naphtha price surged, while cost pass-through and panic buying at downstream drove margin expansion for polyester products. However, such trends started to reverse in May/Jun: as the feedsotck price eased while weak fiber/yarn demand seasonality dragged downstream. However, the PX margin sustained the upward trend as a deeper domestic run cut (-2.2pct in May, the lowest since Aug 2025) and record-low Asia utilization (May: 47%) kept supply tight, as evidenced by China's >30% m/m drop in May imports. Going into Jul, we expect the return of PTA capacity previously under maintenance (Yisheng, Hengli, Dusan Energy etc) to keep PX S-D fundamentals firm, supporting regional margins.
- Earnings and PT changes:** We raise FY26-27E NP by 58-65% to reflect improved ABS/PX spreads and higher dividend income from NYT/NPC. This results in a hike in PT to NT\$70, based on an unchanged 1.1x P/B multiple.

Figure 21: PX-naphtha spread (\$/t)



Source: Bloomberg Finance LP, J.P. Morgan

Figure 22: ABS spread (\$/t)



Source: Bloomberg Finance LP, J.P. Morgan

## Price Performance



|     | YTD   | 1m    | 3m    | 12m    |
|-----|-------|-------|-------|--------|
| Abs | 86.9% | 24.4% | 31.6% | 164.3% |
| Rel | 30.3% | 22.9% | 1.5%  | 63.0%  |

## Company Data

|                             |             |
|-----------------------------|-------------|
| Shares O/S (mn)             | 5,861       |
| 52-week range (NT\$)        | 73.00-21.80 |
| Market cap (\$ mn)          | 10,925      |
| Exchange rate               | 32.19       |
| Free float (%)              | 65.7%       |
| 3M ADV (mn)                 | 39.29       |
| 3M ADV (\$ mn)              | 66.4        |
| Volatility (90 Day)         | 70          |
| Index                       | TAIEX       |
| BBG ANR (Buy   Hold   Sell) | 8 1 1       |

## Key Metrics (FYE Dec)

| NT\$ in millions           | FY25A     | FY26E    | FY27E   | FY28E   |
|----------------------------|-----------|----------|---------|---------|
| <b>Financial Estimates</b> |           |          |         |         |
| Revenue                    | 287,034   | 329,103  | 334,170 | 347,752 |
| Adj. EBITDA                | 10,985    | 26,251   | 23,561  | 24,632  |
| Adj. EBIT                  | (4,044)   | 11,163   | 8,415   | 9,429   |
| Adj. net income            | (5,797)   | 19,713   | 25,898  | 46,249  |
| Adj. EPS                   | (0.99)    | 3.36     | 4.42    | 7.89    |
| BBG EPS                    | (0.90)    | 1.80     | 1.48    | 4.03    |
| Cashflow from operations   | 25,105    | 23,324   | 33,308  | 47,292  |
| FCFF                       | 13,593    | 12,389   | 22,044  | 35,917  |
| <b>Margins and Growth</b>  |           |          |         |         |
| Revenue Growth Y/Y (%)     | (17.7%)   | 14.7%    | 1.5%    | 4.1%    |
| EBITDA margin              | 3.8%      | 8.0%     | 7.1%    | 7.1%    |
| EBITDA Growth Y/Y (%)      | (19.5%)   | 139.0%   | (10.2%) | 4.5%    |
| EBIT margin                | (1.4%)    | 3.4%     | 2.5%    | 2.7%    |
| Net margin                 | (2.0%)    | 6.0%     | 7.7%    | 13.3%   |
| Adj. EPS growth            | (1626.0%) | (440.0%) | 31.4%   | 78.6%   |
| <b>Ratios</b>              |           |          |         |         |
| Adj. tax rate              | (15.2%)   | 15.2%    | 15.2%   | 15.2%   |
| Interest cover             | 3.6       | 8.6      | 8.4     | 9.0     |
| Net debt/Equity            | 0.0       | NM       | NM      | NM      |
| Net debt/EBITDA            | 0.6       | NM       | NM      | NM      |
| ROCE                       | (1.0%)    | 2.0%     | 1.4%    | 1.6%    |
| ROE                        | (1.8%)    | 5.5%     | 7.0%    | 11.9%   |
| <b>Valuation</b>           |           |          |         |         |
| FCFF yield                 | 3.9%      | 3.5%     | 6.3%    | 10.2%   |
| Dividend yield             | 1.0%      | 4.2%     | 5.5%    | 9.9%    |
| EV/Revenue                 | 1.4       | 1.2      | 1.1     | 1.0     |
| EV/EBITDA                  | 35.8      | 14.7     | 15.9    | 14.4    |
| Adj. P/E                   | NM        | 17.8     | 13.6    | 7.6     |

## Summary Investment Thesis and Valuation

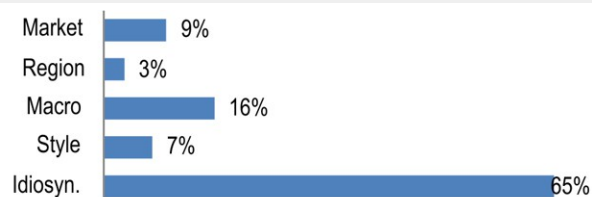
### Investment Thesis

We are OW on FCFC due to it having the highest leverage to PX/aromatics/ABS within the Formosa group, where we expect margins to improve given a slowdown in global capacity additions. Below the OP line, FCFC is also set to benefit from a rise in dividend income from other Formosa Group companies (NYT, NPC, etc). We expect NP to have bottomed out in 2025 at -NT\$5.5bn and rise in the coming years on the back of improved dividend income and chemical spreads.

### Valuation

Our Jun-2027 PT of NT\$70 is based on a historical 10- year average P/B of 1.1x, to reflect FCFC's improvement in ROE to 7% by 2027

## Performance Drivers



| Factors                      | 6M Corr | 1Y Corr |
|------------------------------|---------|---------|
| Market: MSCI Asia Pac ex JP  | 0.40    | 0.31    |
| Region: Taiwan               | -0.11   | -0.18   |
| <b>Macro:</b>                |         |         |
| JPM China A-shares Sentiment | -0.55   | -0.30   |
| Emerging Central Bank Rate   | 0.14    | 0.23    |
| US 10 Year Yield             | -0.32   | -0.20   |
| <b>Quant Styles:</b>         |         |         |
| Momentum                     | 0.35    | 0.14    |
| Quality                      | 0.00    | -0.13   |
| Size                         | 0.24    | 0.09    |

## Investment Thesis, Valuation and Risks

### **Formosa Chemicals and Fibre Corp** (*Overweight; Price Target: NT \$70.00*)

#### **Investment Thesis**

We are OW on FCFC due to it having the highest leverage to PX/aromatics/ABS within the Formosa group, where we expect margins to improve given a slowdown in global capacity additions. Below the OP line, FCFC is also set to benefit from a rise in dividend income from other Formosa Group companies (NYT, NPC, etc). We expect NP to have bottomed out in 2025 at -NT\$5.5bn and rise in the coming years on the back of improved dividend income and chemical spreads.

#### **Valuation**

Our Jun-2027 PT of NT\$70 is based on a historical 10-year average P/B of 1.1x, to reflect FCFC's improvement in ROE to 7% by 2027

#### **Risks to Rating and Price Target**

Downside risks to our earnings/PT include: (1) lower than expected PX/aromatic spread; (2) slower than expected ABS spread recovery; (3) a large slowdown in global GDP/PMI.



## Formosa Chemicals and Fibre Corp: Summary of Financials

| Income Statement             | FY24A     | FY25A     | FY26E     | FY27E     | FY28E     | Cash Flow Statement                 | FY24A     | FY25A     | FY26E     | FY27E     | FY28E    |
|------------------------------|-----------|-----------|-----------|-----------|-----------|-------------------------------------|-----------|-----------|-----------|-----------|----------|
| Revenue                      | 348,608   | 287,034   | 329,103   | 334,170   | 347,752   | Cash flow from operating activities | 19,164    | 25,105    | 23,324    | 33,308    | 47,292   |
| COGS                         | (334,553) | (277,707) | (302,609) | (310,189) | (322,124) | o/w Depreciation & amortization     | 15,198    | 15,029    | 15,088    | 15,146    | 15,202   |
| Gross profit                 | 14,055    | 9,327     | 26,493    | 23,981    | 25,629    | o/w Changes in working capital      | (189)     | 13,709    | (4,908)   | (86)      | (651)    |
| SG&A                         | (15,610)  | (13,371)  | (15,330)  | (15,566)  | (16,199)  | Cash flow from investing activities | (14,830)  | (5,776)   | (14,315)  | (14,315)  | (14,315) |
| Adj. EBITDA                  | 13,643    | 10,985    | 26,251    | 23,561    | 24,632    | o/w Capital expenditure             | (12,431)  | (14,315)  | (14,315)  | (14,315)  | (14,315) |
| D&A                          | (15,198)  | (15,029)  | (15,088)  | (15,146)  | (15,202)  | as % of sales                       | 3.6%      | 5.0%      | 4.3%      | 4.3%      | 4.1%     |
| Adj. EBIT                    | (1,555)   | (4,044)   | 11,163    | 8,415     | 9,429     | Cash flow from financing activities | (5,245)   | (26,388)  | (2,617)   | (12,384)  | (17,073) |
| Net Interest                 | (3,409)   | (3,042)   | (3,042)   | (2,797)   | (2,742)   | o/w Dividends paid                  | (7,338)   | (2,941)   | (3,517)   | (14,784)  | (19,423) |
| Adj. PBT                     | 937       | (5,008)   | 17,028    | 22,371    | 39,951    | o/w Shares issued/(repurchased)     | 0         | 0         | 0         | 0         | 0        |
| Tax                          | 187       | (763)     | 2,595     | 3,409     | 6,088     | o/w Net debt issued/(repaid)        | 519       | (30,328)  | (9,100)   | (7,600)   | (7,650)  |
| Minority Interest            | (743)     | (26)      | 90        | 118       | 210       | Net change in cash                  | 511       | (7,188)   | 6,393     | 6,609     | 15,904   |
| Adj. Net Income              | 380       | (5,797)   | 19,713    | 25,898    | 46,249    | Adj. Free cash flow to firm         | 9,903     | 13,593    | 12,389    | 22,044    | 35,917   |
| Reported EPS                 | 0.06      | (0.99)    | 3.36      | 4.42      | 7.89      | y/y Growth                          | (4241.6%) | 37.3%     | (8.9%)    | 77.9%     | 62.9%    |
| Adj. EPS                     | 0.06      | (0.99)    | 3.36      | 4.42      | 7.89      |                                     |           |           |           |           |          |
| DPS                          | 0.50      | 0.60      | 2.52      | 3.31      | 5.92      |                                     |           |           |           |           |          |
| Payout ratio                 | 771.4%    | NM        | 75.0%     | 75.0%     | 75.0%     |                                     |           |           |           |           |          |
| Shares outstanding           | 5,861     | 5,861     | 5,861     | 5,861     | 5,861     |                                     |           |           |           |           |          |
| Balance Sheet                | FY24A     | FY25A     | FY26E     | FY27E     | FY28E     | Ratio Analysis                      | FY24A     | FY25A     | FY26E     | FY27E     | FY28E    |
| Cash and cash equivalents    | 24,382    | 17,194    | 23,587    | 30,196    | 46,101    | Gross margin                        | 4.0%      | 3.2%      | 8.1%      | 7.2%      | 7.4%     |
| Accounts receivable          | 29,872    | 23,000    | 30,310    | 30,777    | 32,028    | EBITDA margin                       | 3.9%      | 3.8%      | 8.0%      | 7.1%      | 7.1%     |
| Inventories                  | 42,311    | 33,170    | 33,170    | 33,170    | 33,170    | EBIT margin                         | (0.4%)    | (1.4%)    | 3.4%      | 2.5%      | 2.7%     |
| Other current assets         | 59,041    | 115,217   | 115,217   | 115,217   | 115,217   | Net profit margin                   | 0.1%      | (2.0%)    | 6.0%      | 7.7%      | 13.3%    |
| Current assets               | 155,605   | 188,580   | 202,283   | 209,359   | 226,514   | ROE                                 | 0.1%      | (1.8%)    | 5.5%      | 7.0%      | 11.9%    |
| PP&E                         | 153,921   | 150,238   | 152,242   | 154,188   | 156,079   | ROA                                 | 0.1%      | (1.1%)    | 3.6%      | 4.6%      | 8.1%     |
| LT investments               | 120,564   | 133,256   | 133,256   | 133,256   | 133,256   | ROCE                                | (0.3%)    | (1.0%)    | 2.0%      | 1.4%      | 1.6%     |
| Other non current assets     | 60,859    | 66,868    | 66,868    | 66,868    | 66,868    | SG&A/Sales                          | 4.5%      | 4.7%      | 4.7%      | 4.7%      | 4.7%     |
| Total assets                 | 490,950   | 538,942   | 554,649   | 563,672   | 582,718   | Net debt/Equity                     | 0.3       | 0.0       | NM        | NM        | NM       |
| Short term borrowings        | 96,543    | 63,721    | 63,721    | 58,721    | 53,721    | Net debt/EBITDA                     | 5.8       | 0.6       | NM        | NM        | NM       |
| Payables                     | 15,102    | 12,798    | 15,201    | 15,582    | 16,181    | Sales/Assets (x)                    | 0.7       | 0.6       | 0.6       | 0.6       | 0.6      |
| Other short term liabilities | 15,769    | 13,539    | 13,539    | 13,539    | 13,539    | Assets/Equity (x)                   | 1.7       | 1.6       | 1.5       | 1.5       | 1.5      |
| Current liabilities          | 127,414   | 90,058    | 92,461    | 87,842    | 83,441    | Interest cover (x)                  | 4.0       | 3.6       | 8.6       | 8.4       | 9.0      |
| Long-term debt               | 53,401    | 63,845    | 63,845    | 63,845    | 63,845    | Operating leverage                  | (1020.0%) | (906.4%)  | (2565.8%) | (1599.2%) | 296.7%   |
| Other long term liabilities  | 0         | 0         | 0         | (0)       | (0)       | Tax rate                            | 19.9%     | (15.2%)   | 15.2%     | 15.2%     | 15.2%    |
| Total liabilities            | 180,814   | 153,903   | 156,306   | 151,687   | 147,286   | Revenue y/y Growth                  | 4.8%      | (17.7%)   | 14.7%     | 1.5%      | 4.1%     |
| Shareholders' equity         | 277,198   | 349,803   | 363,197   | 376,957   | 400,613   | EBITDA y/y Growth                   | (5.3%)    | (19.5%)   | 139.0%    | (10.2%)   | 4.5%     |
| Minority interests           | 32,938    | 35,235    | 35,146    | 35,028    | 34,818    | EPS y/y Growth                      | (95.6%)   | (1626.0%) | (440.0%)  | 31.4%     | 78.6%    |
| Total liabilities & equity   | 490,950   | 538,942   | 554,649   | 563,672   | 582,718   | Valuation                           | FY24A     | FY25A     | FY26E     | FY27E     | FY28E    |
| BVPS                         | 46.50     | 59.01     | 61.29     | 63.64     | 67.68     | P/E (x)                             | 925.7     | NM        | 17.8      | 13.6      | 7.6      |
| y/y Growth                   | (19.7%)   | 26.9%     | 3.9%      | 3.8%      | 6.3%      | P/BV (x)                            | 1.3       | 1.0       | 1.0       | 0.9       | 0.9      |
| Net debt/(cash)              | 78,626    | 6,112     | (281)     | (11,890)  | (32,795)  | EV/EBITDA (x)                       | 34.0      | 35.8      | 14.7      | 15.9      | 14.4     |
|                              |           |           |           |           |           | Dividend Yield                      | 0.8%      | 1.0%      | 4.2%      | 5.5%      | 9.9%     |

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Nan Ya Plastics Corp (1303.TW, 1303 TT) Price Chart



| Date      | Rating | Price (NT\$) | Price Target (NT\$) |
|-----------|--------|--------------|---------------------|
| 10-Apr-24 | UW     | 58.60        | 52.5                |
| 13-Jan-25 | UW     | 28.30        | 24                  |
| 21-Sep-25 | OW     | 39.25        | 50                  |
| 20-Nov-25 | OW     | 53.80        | 70                  |
| 14-Jan-26 | OW     | 62.20        | 80                  |
| 25-Feb-26 | OW     | 90.80        | 120                 |
| 12-Apr-26 | OW     | 81.60        | 125                 |
| 21-Jun-26 | OW     | 139.00       | 200                 |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage Oct 02, 2001. All share prices are as of market close on the previous business day.

### Formosa Petrochemical Corp (6505.TW, 6505 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage Oct 18, 2004. All share prices are as of market close on the previous business day.

| Date      | Rating | Price (NT\$) | Price Target (NT\$) |
|-----------|--------|--------------|---------------------|
| 03-Aug-23 | OW     | 79.60        | 95                  |
| 13-Jan-25 | OW     | 32.90        | 40                  |
| 21-Sep-25 | OW     | 38.90        | 42                  |
| 20-Nov-25 | OW     | 53.50        | 63                  |
| 25-Feb-26 | OW     | 52.40        | 60                  |
| 12-Apr-26 | OW     | 52.00        | 65                  |

### Formosa Plastics Corp (1301.TW, 1301 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage Feb 26, 2001. All share prices are as of market close on the previous business day.

| Date      | Rating | Price (NT\$) | Price Target (NT\$) |
|-----------|--------|--------------|---------------------|
| 10-Apr-24 | N      | 71.50        | 79                  |
| 13-Jan-25 | N      | 31.45        | 32                  |
| 21-Sep-25 | N      | 38.40        | 34                  |
| 25-Feb-26 | OW     | 48.60        | 55                  |
| 12-Apr-26 | OW     | 46.95        | 60                  |

### Formosa Chemicals and Fibre Corp (1326.TW, 1326 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

| Date      | Rating | Price (NT\$) | Price Target (NT\$) |
|-----------|--------|--------------|---------------------|
| 10-Apr-24 | UW     | 55.90        | 52                  |
| 13-Jan-25 | UW     | 25.30        | 22                  |
| 21-Sep-25 | UW     | 29.00        | 25                  |
| 25-Feb-26 | OW     | 44.75        | 55                  |
| 12-Apr-26 | OW     | 45.45        | 60                  |

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

#### Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

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**Coverage Universe: Ong, Parsley :** CNGR - A (300919.SZ), CNOOC - A (600938.SS), CNOOC - H (0883.HK), Formosa Chemicals and Fibre Corp (1326.TW), Formosa Petrochemical Corp (6505.TW), Formosa Plastics Corp (1301.TW), GEM - A (002340.SZ), Hanwha Solutions Corp (009830.KS), Hengli Petrochemical - A (600346.SS), Indorama Ventures (IVL.BK), Kumho Petrochemical (011780.KS), LG Chem Ltd (051910.KS), LG Energy Solution (373220.KS), Lotte Chemical Corp (011170.KS), Nan Ya Plastics Corp (1303.TW), PTT Exploration & Production (PTTEP.BK), PTT Global Chemical Pcl (PTTGC.BK), PTT Public Company (PTT.BK), PetroChina - A (601857.SS), PetroChina - H (0857.HK), Rongsheng Petro Chemical - A (002493.SZ), S-Oil Corp (010950.KS), SK Innovation (096770.KS), Siam Cement (SCC.BK), Sinopec Corp - A (600028.SS), Sinopec Corp - H (0386.HK), Thai Oil Public Company (TOP.BK), Wanhua Chemical - A (600309.SS)

#### J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

|                                              | Overweight<br>(buy) | Neutral<br>(hold) | Underweight<br>(sell) |
|----------------------------------------------|---------------------|-------------------|-----------------------|
| J.P. Morgan Global Equity Research Coverage* | 53%                 | 36%               | 12%                   |
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